



ACQLERATE

MODULE 1

DoD Acquisitions Foundations

Learn the framework, key players, and lifecycle of DoD acquisitions. Essential for anyone entering the field.

9 Lessons · ~129 Minutes · Lesson Book Edition

Course Lessons

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DOD ACQUISITIONS FOUNDATIONS · LESSON 1

What Is Defense Acquisition? (Start Here)

12 min

A plain-English introduction to what defense acquisition is, why it exists, and how the government buys the things it needs. From fighter jets to IT services to office supplies.

Let's Start at the Very Beginning

If you're new to defense acquisitions, the terminology can feel overwhelming fast. ACAT levels, PEOs, CDDs, Nunn-McCurdy. It sounds like a different language. So let's ignore all of that for now and answer one simple question: what is defense acquisition, and why does it exist? Defense acquisition is simply how the U.S. government buys things for national defense. That's it. The Department of Defense needs aircraft, ships, weapons, software, IT services, maintenance, food for military bases, professional support. And it has to buy all of it from somewhere. Defense acquisition is the system, process, and rules that govern how that buying happens.

THE SCALE OF WHAT WE'RE TALKING ABOUT

The DoD spends roughly \$400 billion per year on acquisition. Goods, services, and research. That's more than the entire GDP of most countries. It is the largest procurement organization in the world, and understanding how it works is genuinely valuable whether you're a government employee trying to be effective at your job or a contractor trying to win and execute business.

Why Does the Government Need Special Rules for Buying Things?

You might be wondering: why can't the government just buy things the same way a company does. Shop around, find the best deal, pay for it? The answer has three parts. First, it's public money. The government is spending taxpayer dollars, so Congress and the public have a right to ensure it's spent wisely, fairly, and without corruption. Second, the scale is enormous. A single defense contract can be worth billions of dollars and run for decades. Mistakes at that scale cost the public enormously. Third, national security depends on it. If a contractor fails to deliver a critical weapons system or the government buys the wrong thing, people's lives are at stake. The FAR (Federal Acquisition Regulation) and DFARS (Defense Federal Acquisition Regulation Supplement) are the rulebooks that govern this process. They are dense and detailed, but they exist for good reason.

THE NFL RULEBOOK ANALOGY

Think of the FAR as the NFL rulebook: it applies to every team in the league, no exceptions. Any federal agency buying anything, from paper clips to aircraft carriers, plays by it. DFARS is the extra rulebook one team, the DoD, has to follow on top of the league rules, because that team's games carry higher stakes: national security, classified information, war fighters' lives. Every other agency just follows the FAR. DoD follows the FAR, then adds DFARS on top.

BOTH RULEBOOKS ARE BEING REWRITTEN RIGHT NOW

Since April 2025, the government has been running the biggest rewrite of the FAR since it was created in 1984. Officially called the Revolutionary FAR Overhaul (RFO). DoD (renamed the Department of War in early 2026) is running a parallel DFARS overhaul on the same timeline. Neither rulebook has been renamed. You will still hear "FAR" and "DFARS" everywhere, including from the government itself (the overhaul's own name has "FAR" right in it). What is changing is the text: agencies are adopting rewritten parts immediately through interim "class deviations," then making them permanent later through formal rulemaking. That means two versions of some FAR/DFARS parts can be in effect at the same time depending on which agency you're dealing with. Always check whether the office you're working with has issued a deviation for the part you're reading. Track live status at acquisition.gov/far-overhaul.

The Three Core Principles Behind Every Defense Acquisition

- **Competition: the government must generally compete its requirements so multiple companies can bid. This keeps prices fair and ensures the government gets the best value, not just the most connected vendor.** FAR Part 6 governs competition requirements. Full and open competition is the default: exceptions (sole source, urgency, follow-on) must be documented in a Justification & Approval (J&A) and are scrutinized by oversight bodies. Reducing competition requires CO and often higher-level approval.
- **Transparency: the rules, evaluation criteria, and award decisions must be documented and defensible. A losing contractor can protest an award if they believe the process was unfair.** Protests can be filed at the GAO (within 10 days of debriefing), the Court of Federal Claims, or the agency level. The GAO resolves protests within 100 days and has a ~40% sustain rate: meaning roughly 4 in 10 protests result in corrective action. Transparent documentation is the CO's best defense.
- **Accountability: taxpayers, Congress, and oversight agencies (like the GAO and DoD IG) monitor how money is spent. Program managers and contracting officers are personally accountable for following the rules.** The Anti-Deficiency Act (ADA) makes improper spending a personal liability: not just an organizational one. Violations must be reported to Congress and OMB. The DoD IG and GAO conduct audits that become public record. Acquisition professionals who cut corners face administrative action and potential criminal referral.

The Two Sides of Every Defense Acquisition

Every defense acquisition involves two sides: the government side and the industry side. Understanding both perspectives is one of the most valuable things you can do in this field.

Government Side vs. Industry Side: How Each Experiences Acquisition

ASPECT	GOVERNMENT SIDE (USG)	INDUSTRY SIDE (CONTRACTOR)
Primary goal	Get the best capability or service for the best value	Win contracts and deliver profitably
Main concern	Defining requirements accurately and managing risk	Understanding requirements and proposing a compelling solution
Who they answer to	Congress, oversight agencies, the American taxpayer	Shareholders, corporate leadership, employees
Rules they follow	FAR, DFARS, DoD Instructions, agency policy	FAR/DFARS contract terms, company policies
How they make decisions	Documented, regulated process with multiple approvals	Business judgment, pWin analysis, BD strategy
What success looks like	Program delivers capability on cost and schedule	Win the contract, perform well, get paid, win recompet

What Gets Bought? The Three Categories

Not everything the DoD buys is a fighter jet. Acquisition spans three broad categories, and each has its own rules and dynamics.

The Three Things the DoD Buys

- **Products (Systems & Equipment): physical items: aircraft, vehicles, ships, weapons, satellites, radios, body armor. These often involve years of development before they can be produced and fielded. The most complex category.** Major defense systems (ACAT I programs) can take 15–25 years from concept to full fielding and cost \$1B–\$100B+. The F-35 program, for example, has a total lifecycle cost estimated above \$1.7 trillion. The complexity of systems acquisition is why the DoD 5000 series of instructions exists specifically for it.
- **Services: people doing work for the government: program management support, IT services, base operations, maintenance, security, training. This is the largest category by contract volume and where most contractors spend their time.** Services represent over 50% of DoD contract spending by volume. They are governed by FAR Part 37 and the Services Acquisition pathway (DoDI 5000.74) for requirements above \$250M. Most services are competed through IDIQ vehicles like OASIS+ rather than standalone contracts.

- **Research & Development (R&D): funding for science, technology, experimentation, and innovation. Not buying a finished product, but funding the work to create new capabilities that may eventually become programs.** R&D is funded through RDT&E appropriations (2-year availability). DoD spends ~\$100B/year on R&D across six budget activities: Basic Research (6.1), Applied Research (6.2), Advanced Technology Development (6.3), Advanced Component Development (6.4), System Development (6.5), and Management Support (6.6). The "6.X" number you'll see in budget exhibits refers to these categories.

Who Runs Acquisitions Inside the DoD?

The acquisition function inside DoD is handled by two distinct communities who work together on every major program.

The Two Communities That Make Acquisition Work

- **The Contracting Community: Contracting Officers (COs) and their teams. They write and award contracts, negotiate prices, administer contract performance, and authorize payments. They are the government's legal agents. Only a CO can obligate the government to spend money.** COs are 'warranted': they hold a Certificate of Appointment (DD Form 2579) that specifies their contracting authority limit. A CO can only sign contracts up to their warrant threshold; larger actions require a higher-warranted CO. This is why large programs always involve a PCO (Procuring CO) at the awarding office.
- **The Program Management Community: Program Managers (PMs) and their program offices. They define requirements, manage the technical and schedule execution, work with contractors day-to-day, and are accountable for delivering the capability. They rely on COs to handle the contractual side.** PMs are accountable for the Acquisition Program Baseline (APB): the formal cost, schedule, and performance targets. Significant deviations from the APB trigger reporting requirements to OSD and Congress. For ACAT I programs, the PM is typically an O-6 (Colonel/Captain) or SES civilian with DAWIA Program Management Level III certification.

THE KEY INSIGHT THAT CHANGES HOW YOU SEE EVERYTHING

Defense acquisition is not just about contracts and regulations. At its core it is about one question: how does the U.S. government, working with private industry, turn a warfighter's need into a delivered capability. Reliably, affordably, and at the right time? Every lesson in this course is about that question from a different angle. Keep it in mind as you go deeper.

YOU DON'T NEED TO MEMORIZE EVERYTHING

The FAR alone is thousands of pages. No one memorizes it. What matters is understanding the framework. The why behind the rules. So you can find the right answer when you need it and make good judgment calls when the regulation doesn't give you a clear answer. That's what this course is designed to build.

Key Terms

Defense Acquisition

The process the U.S. government uses to buy the products, services, and systems needed for national defense. From aircraft and ships to software and professional services.

DoD

Department of Defense. The federal department responsible for U.S. military forces and defense policy. Includes the Army, Navy, Air Force, Marine Corps, Space Force, and numerous defense agencies.

FAR

Federal Acquisition Regulation. The primary rulebook governing how the U.S. federal government buys goods and services. Every federal contract must comply with the FAR unless an exception applies. As of 2026, the FAR is mid-rewrite under the Revolutionary FAR Overhaul (RFO). It is still called the FAR, but expect the text of most parts to look different than it did a year ago.

DFARS

Defense Federal Acquisition Regulation Supplement. The DoD-specific additions to the FAR. Adds defense-specific rules on top of the base FAR requirements. Also being rewritten in 2026 as part of the same overhaul effort. Still called DFARS, not a new acronym.

Contracting Officer (CO)

The government official with legal authority to enter into, modify, and terminate contracts on behalf of the U.S. government. Only a CO can make the government legally obligated to pay.

Requirement

A documented need for a product or service. Before any contract can be awarded, a requirement must be defined. What does the government need, how much, and by when.

Appropriation

Money authorized by Congress for a specific purpose. The government can only spend money that Congress has appropriated. And only for the purpose Congress intended.

Contractor

A private company or individual that has a contract with the government to provide goods or services. Also called a vendor, industry partner, or prime contractor.

Knowledge Check

In plain terms, what is defense acquisition?

A. The process of recruiting military personnel

This is military accessions: a separate function entirely. Defense acquisition specifically refers to how the government procures goods and services, governed by the FAR and DFARS, not personnel recruitment which falls under MILPERS and DoD Directive 1304.

✓ **B. The system and rules governing how the U.S. government buys goods and services for national defense**

Correct definition. The FAR (Federal Acquisition Regulation) is the primary rulebook, supplemented by the DFARS for DoD. Together they govern everything from office supplies to aircraft carriers: any purchase of goods, services, or R&D for national defense.

C. The process of designing weapons systems

Weapons design falls under Research & Development (R&D) and Systems Engineering: distinct disciplines from acquisition. Acquisition is the process of buying what engineering has designed, though the two are closely linked in major defense programs.

D. The military's internal budgeting process

Internal budgeting is part of the PPBE (Planning, Programming, Budgeting, and Execution) process. Acquisition is the downstream activity of actually procuring goods and services once funding is appropriated by Congress: a related but distinct function.

WHY

Defense acquisition is fundamentally the process by which the U.S. government buys the things it needs for national defense. From aircraft and ships to IT services and professional support. Everything else (the FAR, DFARS, milestones, contracts) is the infrastructure that governs how that buying happens.

What is the FAR?

A. The Federal Acquisition Roster: a list of approved contractors

Incorrect. The FAR stands for the Federal Acquisition Regulation: the master rulebook governing how all U.S. federal agencies buy goods and services. There is no such thing as a 'Federal Acquisition Roster.'

✓ B. The Federal Acquisition Regulation: the primary rulebook governing how the U.S. government buys goods and services

Correct. The FAR (Federal Acquisition Regulation) is codified at 48 C.F.R. Chapter 1. It establishes uniform policies and procedures for all federal agencies. DoD supplements FAR with the DFARS for defense-specific requirements.

C. The Forward Acquisition Rate: a cost estimating tool

Incorrect. 'Forward Acquisition Rate' is not a real term. The FAR is the Federal Acquisition Regulation. Forward Pricing Rate Agreements (FPRAs) are a related but separate concept: negotiated labor and overhead rates used to estimate future contract costs.

D. A DoD-specific rule that only applies to defense contracts

Incorrect, but close. This describes the DFARS (Defense Federal Acquisition Regulation Supplement), not the FAR itself. The FAR applies government-wide to all agencies. The DFARS supplements FAR specifically for DoD.

WHY

The FAR (Federal Acquisition Regulation) is the primary rulebook governing all federal government purchasing. The DFARS (Defense Federal Acquisition Regulation Supplement) adds defense-specific rules on top of the FAR. Together they govern every DoD contract.

Who is the only government official with legal authority to obligate the government to pay on a contract?**A. The Program Manager**

The PM executes the program but does not make milestone decisions for their own program: that would be a conflict of interest. The MDA is always above the PM in the chain: typically the PEO's chain for smaller programs and the SAE or USD(A&S) for ACAT I.

B. The Contracting Officer's Representative (COR)

Correct. The COR is a government employee appointed in writing by the Contracting Officer to monitor contractor performance and serve as the technical interface between the program office and the contractor. CORs do not have contracting authority, only the CO can sign binding agreements.

✓ C. The Contracting Officer (CO)

The CO awards and administers contracts but does not make acquisition milestone decisions. The CO is the legal agent for contracting actions; the MDA is the senior official who approves program advancement through the acquisition lifecycle phases.

D. The Program Executive Officer (PEO)

The PEO oversees the PM's program but is typically the MDA only for lower-tier programs (ACAT III or below). For ACAT I programs, the MDA is elevated to the SAE or USD(A&S). For ACAT II, the CAE (Component Acquisition Executive) is typically the MDA.

WHY

Only a warranted Contracting Officer (CO) has legal authority to enter into, modify, or terminate contracts on behalf of the U.S. government. A Program Manager can direct technical work within a contract, but only the CO can legally obligate the government to spend money.

Why does the government follow special rules when buying things, rather than just shopping around freely?

A. To slow down the process and create government jobs

Incorrect. Competition in federal acquisition exists to protect taxpayer dollars and promote fair dealing. FAR Part 6 requires full and open competition unless a specific exception applies. Competition drives down price, improves quality, and prevents corruption.

B. Because private companies demanded it

Incorrect. Federal acquisition rules were created by Congress to protect public funds and ensure impartiality. Foundational laws include the Competition in Contracting Act (CICA) of 1984, the Federal Property and Administrative Services Act, and the Armed Services Procurement Act.

✓ C. To ensure public money is spent fairly, wisely, and with accountability to taxpayers and Congress

Correct. The entire federal acquisition system exists to achieve best value while maintaining integrity and transparency. The FAR, DFARS, and the Competition in Contracting Act reflect Congress's mandate to spend public money responsibly and maintain a competitive marketplace.

D. Because the military prefers not to deal with industry directly

Incorrect. The military works extensively with industry, that's how most defense capabilities are acquired. Competition requirements exist for financial accountability and fairness, not because of any preference to avoid industry contact.

WHY

Government acquisition rules exist because public money demands public accountability. The FAR/DFARS framework ensures competition (fair pricing), transparency (defensible decisions), and accountability (Congress and oversight agencies can verify money was spent as intended). Without these rules, the system would be vulnerable to corruption and waste at enormous scale.

Which of the following is the LARGEST category of DoD spending by contract volume?**A. Products (systems and equipment like aircraft and ships)**

Incorrect. Products are the most visible defense acquisition category, F-35 fighters, Virginia-class submarines, M1A2 tanks, GPS satellites, and body armor. These are often acquired through Major Defense Acquisition Programs (MDAPs) with ACAT I designation.

B. Research & Development

Incorrect. R&D (funded under RDT&E appropriations) is foundational to DoD acquisition. Budget activities run from basic research (6.1) through operational systems development (6.7). Understanding which RDT&E budget activity applies to a program phase is critical for acquisition planners.

✓ C. Services (people doing work: IT, maintenance, program support, etc.)

Correct. Services represent the largest and fastest-growing segment of DoD spending, over \$200B annually. This includes base operations, cybersecurity, and program management support. Services are acquired through IDIQs, GWACs, and agency-specific vehicles.

D. Construction and real estate

Incorrect. DoD is one of the world's largest real property owners, managing hundreds of installations worldwide. Military construction (MILCON) is funded through a separate appropriation and includes barracks, runways, maintenance facilities, and family housing.

WHY

Services. Contractors providing labor and expertise to support government operations, programs, and missions. Represent the largest category of DoD contract spending by volume. This includes everything from IT support and base operations to program management support and professional advisory services.

DOD ACQUISITIONS FOUNDATIONS · LESSON 2

The DoD Acquisition System Overview

12 min

Understand the structure, purpose, and key regulations governing DoD acquisitions.

What is DoD Acquisitions?

The Department of Defense acquisitions system is the process by which the U.S. military procures goods, services, and systems to fulfill national security requirements. With an annual budget exceeding \$400 billion, DoD is the largest acquisition enterprise in the world. Every dollar must be managed according to strict laws, regulations, and policies to ensure accountability, competition, and proper use of taxpayer funds.

THE BIG THREE PROCESSES

DoD acquisitions sits at the intersection of three interlocked processes: JCIDS (what we need), PPBE (how we fund it), and the Acquisition System (how we buy it). Understanding all three is essential for a successful PM or Contracting Officer career.

Key Regulatory Framework

- **Title 10 U.S.C.: Statutory authority for defense acquisitions and armed forces** Title 10 provides the statutory foundation for DoD's authority to conduct acquisitions, organize the acquisition workforce (DAWIA), and govern major defense programs. Key sections: § 2304 (competition requirements), § 2306a (Truth in Negotiations Act/TINA), § 2433 (Nunn-McCurdy), § 4021-4022 (OTAs). When FAR and statute conflict, statute governs.
- **FAR (Federal Acquisition Regulation): Codified in 48 CFR, governs all federal procurement** The FAR is updated continuously through FAR cases: proposed rules published in the Federal Register, comment periods, and final rules. Subscription to FAC (Federal Acquisition Circular) notifications is how acquisition professionals stay current. The entire FAR is free at acquisition.gov. No one memorizes it: knowing how to navigate it quickly is the actual skill.
- **DFARS: Defense-specific supplements; adds 200+ pages of DoD-specific rules** DFARS clauses are numbered 252.XXX vs FAR's 52.XXX. Key DFARS areas: 252.204-7012 (cybersecurity/CMMC), 252.225-7001 (Buy American), 252.215-7004 (excessive pass-through charges), 252.244-7001 (purchasing system). Each military service also has its own supplement (AFARS, NMCARS, AFFARS) adding another layer.
- **Revolutionary FAR Overhaul (RFO): the government-wide rewrite of the FAR underway since April 2025, plus a parallel DFARS overhaul run by the Department of War (the renamed DoD)** Launched by Executive Order 14275, "Restoring Common Sense to Federal Procurement." Phase 1 rolled out interim

"class deviations" starting late 2025: many already adopted agency-wide. Phase 2 is formal notice-and-comment rulemaking: the first batch of proposed rules covering 20 FAR parts published June 23, 2026, with the FAR Council aiming to finalize the whole rewrite by the end of 2026. Legacy FAR/DFARS text still governs any part an agency has not yet deviated: check [acquisition.gov/far-overhaul](https://www.acquisition.gov/far-overhaul) for current status before assuming a part has changed.

- **DoDI 5000.02: The "bible" for major system acquisitions, defines program phases** DoDI 5000.02 was replaced by the Adaptive Acquisition Framework (AAF) policy, which now lives across multiple DoDIs (5000.74, 5000.75, 5000.80, 5000.81, 5000.85, 5000.87). The old 5000.02 single-pathway model is gone: but the term "5000 series" still refers collectively to all these pathway-specific instructions.
- **DoDI 5000.74: Governs Defense Acquisition of Services** DoDI 5000.74 applies to all service acquisitions above \$10M and requires a Services Acquisition Strategy for those above \$250M. It mandates portfolio reviews and senior official accountability. Services represent the largest share of DoD contract spending by volume: more than \$200B annually.
- **DoDI 5000.75: Governs Business Systems acquisitions** Business systems (financial, HR, logistics, acquisition IT) have unique acquisition considerations because they must comply with functional standards, integrate with existing DoD enterprise systems, and go through Investment Review Board (IRB) oversight. The Business Capability Acquisition Cycle (BCAC) replaces the traditional milestone structure for these programs.

REAL TALK

Look, I get it, this table is boring. It matters if you are anywhere near a multi-billion dollar weapons program, where the dollar thresholds decide who signs off on your milestones and whether Congress gets a briefing. It matters a lot less if you are running a services contract or a small IT task order. Skim it for the general shape, and do not lose sleep over the exact number for ACAT II.

Acquisition Program Categories

CATEGORY	THRESHOLD	OVERSIGHT LEVEL
ACAT I	RDT&E > \$480M or Procurement > \$2.79B	Milestone Decision Authority: USD(A&S)
ACAT IA	IT: > \$300M total	MDA: ASD(NII) or CIO
ACAT II	RDT&E > \$185M or Procurement > \$835M	MDA: Component (Secretary level)
ACAT III	Below ACAT II thresholds	MDA: Program Executive Officer

The Adaptive Acquisition Framework (AAF)

The 2020 introduction of the Adaptive Acquisition Framework (AAF) replaced the rigid "5000.02" single path model with six acquisition pathways: Urgent Capability Acquisition, Middle Tier of Acquisition,

Major Capability Acquisition, Software Acquisition, Defense Business Systems, and Acquisition of Services. This flexibility allows programs to choose the pathway that best fits the nature of their acquisition.

CAREER TIP

The most valued PMs understand not just their own acquisition pathway, but how it connects to budget cycles (PPBE) and requirements generation (JCIDS). When you can speak all three languages fluently, you become indispensable to a program office.

INTERMEDIATE

How JCIDS, PPBE, and Acquisition Interlock in Practice

These three systems are interdependent, and the seams between them are where programs fail. A requirement validated by JROC but not funded through PPBE is just a wish list. Funding programmed through POM but without a validated requirement can't proceed to contract. And an acquisition program without a funded, validated requirement will hit a Milestone roadblock. As a mid-career PM, you need to own all three timelines simultaneously: your JROC review schedule, your POM submission window, and your acquisition milestone dates. When they slip out of sync, programs get delayed at Milestone B waiting for funding or requirements that aren't ready.

AAF Pathways: When to Use Each

PATHWAY	BEST FOR	KEY CHARACTERISTIC	TYPICAL TIMELINE
Major Capability Acquisition (MCA)	Large, complex systems (ACAT I/II)	Full DoDI 5000 oversight; Milestones A/B/C; most rigorous	10-20+ years
Middle Tier (MTA) - Rapid Prototyping	Fielding prototype within 5 years	No Milestone A; accelerated; used for emerging tech (OTA-friendly)	2-5 years
Middle Tier (MTA) - Rapid Fielding	Fielding proven capability within 6 months-5 years	Leverages existing technology; limited production; no new development	6 months - 5 years
Software Acquisition	Software-intensive programs	Agile delivery; no traditional milestones; continuous iteration	Ongoing sprints
Urgent Capability Acquisition	Validated urgent operational need (UON)	Bypasses normal process; less than 2 years to field	< 2 years
Defense Business Systems	Financial/HR/ERP IT systems	Business case required; milestone reviews adjusted for IT	Varies

ADVANCED**Title 10 Authorities and the Limits of DAU Training**

Most PM training focuses on DoDI 5000.02 as if it exists in isolation. At the senior level, you need to understand that DoDI 5000.02 is DoD policy interpreting a statutory framework: and when the statute and the policy conflict, the statute wins. Title 10 U.S.C. Chapter 137 (now recodified under Chapter 221-243) is where acquisition authority actually lives. Sections 3201-3249 cover source selection. Sections 3761-3775 govern multiyear procurement. Section 4021-4025 authorizes OTAs. When a program office lawyer tells you "we can't do X under policy," your question should be: does the statute prohibit it, or just the policy? Policies can be waived and tailored. Statutes cannot: unless you go to Congress. Senior PMs who understand this distinction can unlock flexibilities that others think are unavailable.

THE REAL PURPOSE OF MILESTONE REVIEWS: AND WHY THEY FAIL

Milestone reviews exist to ensure the government is not committing to programs that are not ready. In theory, a Milestone B review verifies that requirements are stable, design is mature, and cost/schedule are executable before committing to EMD. In practice, programs routinely breach Milestones with immature technology, unstable requirements, and optimistic cost estimates: because the institutional pressure to keep programs moving outweighs the discipline to hold the gate. As a senior PM, your job is to resist this pressure. A program that breaches Milestone B with a 60% design maturity will statistically overrun its cost estimate by 40%+ and breach schedule by 2+ years. The Milestone review is your last, best chance to reset before billions are committed. Use it.

Key Terms**FAR**

Federal Acquisition Regulation. The primary regulation governing federal procurement. Undergoing a full rewrite in 2026 (the Revolutionary FAR Overhaul). Same name, largely new text, rolling out part by part.

DFARS

Defense Federal Acquisition Regulation Supplement. DoD-specific additions to FAR. Also being overhauled in 2026 on a parallel track. Still called DFARS.

DoDI 5000.02

The primary DoD instruction governing the acquisition of major defense systems.

JCIDS

Joint Capabilities Integration and Development System. The requirements generation process.

PPBE

Planning, Programming, Budgeting, and Execution. DoD's resource allocation process.

Knowledge Check

Which regulation serves as the primary source of federal acquisition law, applicable to all federal agencies including DoD?

A. DFARS

✓ **B. FAR (Federal Acquisition Regulation)**

C. DoDI 5000.02

D. Title 10 U.S.C.

WHY

The FAR (Federal Acquisition Regulation) is codified in 48 CFR and applies to all federal agencies. DFARS is the DoD supplement to FAR. DoDI 5000.02 governs the acquisition of major defense systems specifically.

An ACAT I program has RDT&E costs projected at \$520 million. Which authority serves as the Milestone Decision Authority?

A. Program Executive Officer

B. Service Secretary

✓ **C. Under Secretary of Defense (Acquisition & Sustainment)**

D. Comptroller General

WHY

ACAT I programs: those exceeding \$480M in RDT&E or \$2.79B in procurement: have the Under Secretary of Defense for Acquisition & Sustainment (USD(A&S)) as the Milestone Decision Authority.

The Adaptive Acquisition Framework replaced what previous single-path model?

A. DoDI 5000.74

✓ **B. DoDI 5000.02 single pathway**

C. JCIDS Manual

D. Defense Acquisition University model

WHY

The AAF, formalized in 2020, replaced the rigid single-path acquisition model previously required by DoDI 5000.02, offering six distinct pathways tailored to different acquisition needs.

Which of the three DoD "Big processes" is primarily responsible for generating requirements: identifying what capabilities the military needs?

- A. PPBE
- B. The Acquisition System

✓ C. JCIDS

- D. AAF

WHY

JCIDS (Joint Capabilities Integration and Development System) is the requirements generation process. It identifies capability gaps and defines what needs to be procured. PPBE funds it, and the Acquisition System buys it.

Which AAF pathway is specifically designed for software-intensive programs using Agile and DevSecOps approaches?

- A. Major Capability Acquisition
- B. Middle Tier of Acquisition

✓ C. Software Acquisition Pathway

- D. Urgent Capability Acquisition

WHY

The Software Acquisition Pathway (DoDI 5000.87) was created specifically for software-intensive programs and enables use of Agile, DevSecOps, and continuous delivery methods without following the traditional hardware-focused milestone process.

An ACAT II program has total procurement costs of \$900 million. Who serves as the Milestone Decision Authority?

- A. USD(A&S)

✓ B. Component Acquisition Executive (e.g., ASA(ALT) for Army)

- C. Program Executive Officer
- D. Defense Acquisition Board

WHY

ACAT II programs (RDT&E > \$185M or procurement > \$835M) have the Component Acquisition Executive: such as the Assistant Secretary of the Army for Acquisition, Logistics, and Technology: as the MDA, not USD(A&S).

DoDI 5000.74 specifically governs what type of acquisition?

A. Major weapon systems

✓ **B. Defense Acquisition of Services**

C. Defense Business Systems

D. Urgent Capability Acquisition

WHY

DoDI 5000.74 specifically governs the Defense Acquisition of Services: the process for acquiring services contracts, which now represent more than half of DoD's annual contract spending.

Which acquisition pathway is designed for rapid fielding of capabilities within 2 years without a formal Milestone B decision?

A. Major Capability Acquisition

✓ **B. Middle Tier of Acquisition (MTA)**

C. Urgent Capability Acquisition

D. Defense Business Systems

WHY

The Middle Tier of Acquisition (MTA) pathway, authorized by Section 804 of the FY2016 NDAA, allows programs to rapidly prototype or rapidly field capabilities within 5 years without a formal Milestone B. Many programs targeting 2-year fielding use MTA Rapid Fielding.

Title 10 U.S.C. provides what primary authority for DoD acquisitions?

A. Tax authority for defense spending

✓ **B. Statutory authority for the armed forces and defense acquisitions**

C. Congressional appropriations authority

D. The authority to enter into international agreements

WHY

Title 10 U.S.C. is the statutory foundation for the armed forces and defense acquisitions, establishing the legal authority under which DoD operates. It defines acquisition thresholds, authorities, and requirements that flow down into DoDI 5000 series instructions and regulations.

What is the primary purpose of the Adaptive Acquisition Framework's "Urgent Capability Acquisition" pathway?

A. Procure commercial off-the-shelf items rapidly

✓ **B. Address urgent warfighter needs within 2 years using streamlined approval processes**

C. Develop and test new defense systems through rapid prototyping

D. Acquire defense business systems using commercial software

WHY

The Urgent Capability Acquisition pathway is designed to rapidly meet urgent warfighter needs, typically within 2 years. It uses streamlined oversight and accelerated approvals, often in response to combatant command urgent requests or unforeseen operational requirements.

Place these DoD acquisition milestones in the correct sequence from earliest to latest:

CORRECT ORDER

1. Milestone A: Materiel Development Decision
2. Milestone B: Engineering & Manufacturing Development
3. Milestone C: Production & Deployment
4. Full-Rate Production (FRP) Decision

WHY

The standard MDA pathway flows: Milestone A (approve entry into Technology Maturation) → Milestone B (approve entry into Engineering & Manufacturing Development) → Milestone C (approve entry into Production & Deployment) → Full-Rate Production Decision. Each milestone requires a formal review and documented approval.

Match each DoD process to its primary function:

CORRECT MATCHES

JCIDS	Generates validated warfighter requirements
PPBE	Allocates and manages defense funding
Acquisition System	Procures and delivers the capability
DAWIA	Sets workforce training & certification standards

WHY

JCIDS generates requirements (what the military needs). PPBE allocates funding (how it's paid for). The Acquisition System procures the capability (how it's bought). These three processes must stay synchronized for a program to succeed.

DOD ACQUISITIONS FOUNDATIONS · LESSON 3

Who's Who in Defense Acquisition

13 min

Meet the people and organizations on both sides of every defense acquisition. From Congress and OSD down to the program office, and from the prime contractor to the COR.

Who Is Actually in the Room

This lesson is your cast of characters. On the government side, there is a chain running from Congress down through OSD, the Service Acquisition Executive, the PEO, and finally the Program Manager and Contracting Officer who actually run the program day to day. On the industry side, there is a parallel chain: Business Development finds the opportunity, a Capture Manager wins it, a Proposal Manager writes it, and a Contractor PM delivers it once the contract is signed. Every acronym in this lesson is one of those two chains. One of the fastest ways to become effective in defense acquisitions, whether you're on the government side or the industry side, is to understand who actually makes decisions, who influences those decisions, and what each person needs from their counterparts. The acquisition system involves dozens of different roles, but most of the day-to-day work flows through a small set of key relationships.

The Government Side: From Congress to the Contracting Office

The government side of acquisition is organized in layers, from the top policy-setters down to the people who actually sign contracts and manage programs.

The Government Acquisition Chain: Top to Bottom

- **Congress: Authorizes and appropriates all defense spending. Sets statutory requirements that no one can waive (Nunn-McCurdy, TINA, competition requirements). Defense committees oversee the largest programs closely.** The House and Senate Armed Services Committees (HASC/SASC) authorize programs through the National Defense Authorization Act (NDAA), passed annually. The Appropriations Committees (HAC-D/SAC-D) then fund them. A program can be authorized but not funded: or funded at a different level than requested. Congressional staff track major programs closely and Congressional direction in NDAA's has direct programmatic impact.
- **OSD (Office of the Secretary of Defense): Sets policy, runs oversight reviews for major programs, controls the defense budget request. Key OSD offices: USD(A&S) for acquisition policy, CAPE for independent cost estimates, DOT&E for testing oversight.** USD(A&S): Under Secretary of Defense for Acquisition and Sustainment: is the principal acquisition authority for DoD. CAPE (Cost Assessment and Program Evaluation) produces independent cost estimates that are almost always higher than program office estimates; CAPE's track record on accuracy is strong. DOT&E (Director of Operational Test & Evaluation)

provides independent testing oversight and can effectively block a Milestone C if IOT&E results are inadequate.

- **Service Acquisition Executives (SAEs): One per service (Army: ASA(ALT), Navy: ASN(RDA), Air Force: SAF/AQ). The SAE is responsible for all acquisition programs within their service and is the Milestone Decision Authority for most ACAT I programs.** The SAE is a Senate-confirmed political appointee (Assistant Secretary level). They chair the service-level milestone decision reviews and sign the Acquisition Decision Memorandum (ADM) that formally advances a program. For ACAT ID programs, the MDA is elevated to USD(A&S). The SAE also chairs the Service Acquisition Review (SAR) process that reviews programs below ACAT I threshold.
- **Program Executive Officers (PEOs): Oversee portfolios of related programs. A PEO might manage all Army ground vehicles, or all Air Force electronic warfare programs. They are the PM's direct chain of command.** PEOs are typically major generals (O-8) or equivalent SES civilians managing 10–30 programs simultaneously. They brief the SAE regularly and are the first escalation point when a program has a problem. A PEO will relieve a PM who consistently surprises leadership with bad news rather than surfacing it early.
- **Program Managers (PMs): The person accountable for a specific program. Responsible for cost, schedule, and performance. A PM's job is to deliver the capability.** For ACAT I programs, the PM is typically an O-6 (Colonel/Navy Captain) or equivalent SES civilian. They hold a DAWIA Program Management certification and are personally accountable for executing within the Acquisition Program Baseline (APB). A PM who blows cost and schedule without early warning loses their program and often their career trajectory.
- **Contracting Officers (COs): Award and administer contracts. Independent authority: a CO can refuse to sign a contract they believe is improper even under PM pressure.** This independence is intentional and legally protected. A CO who signs a contract they believe to be improper faces personal liability. COs are trained to recognize and resist unauthorized commitments: government employees who direct contractor work without contractual authority create illegal obligations. The CO's independent judgment is a key check on the system.
- **Contracting Officer's Representatives (CORs): Delegated by the CO to monitor contractor performance day-to-day. Often technical staff embedded with the program. One of the most influential people in a contractor's daily life.** CORs must complete mandatory training (CLC 106 at DAU) and hold a formal written appointment letter specifying their authority limits. CORs cannot direct contract changes: only the CO can. But their CPARS ratings and performance observations directly influence option year exercises and recompete outcomes.

Six links, one chain. Every layer above the COR is one step further from the actual work getting done.

THE PM-CO RELATIONSHIP IS THE ENGINE OF EVERY PROGRAM

The Program Manager and Contracting Officer must work as partners, but they have different authorities and different accountability chains. The PM is accountable for delivering capability. The CO is accountable for contracting integrity. A PM cannot direct a contractor to do work outside the contract. Only the CO can authorize that. A CO cannot unilaterally change technical requirements. That's the PM's lane. When this partnership works well, programs run smoothly. When it breaks down, you get delays, disputes, and claims.

The Industry Side: From Prime to Subcontractor

On the industry side, the structure mirrors the government in some ways. There are senior leadership, program teams, and functional specialists. But the dynamics are driven by business strategy rather than regulatory authority.

The Industry Acquisition Team

- **Business Development (BD): Identifies opportunities, builds relationships with government customers, and tracks the market 12–24 months before any RFP is released. BD is the front end of the revenue pipeline.** BD professionals are measured on pipeline value and opportunity identification, not wins. They work 12–36 months ahead of the proposal, attending industry days, responding to RFIs, and building customer relationships. The most effective BD contacts are mid-level program office staff (GS-13/14 level) and CORs: not senior executives, who often don't control requirement shaping.
- **Capture Manager: Takes over from BD once a specific opportunity is identified and pursued. Leads the strategy to win: competitive analysis, teaming, solution shaping, customer engagement. Makes the go/no-go decision to bid.** The capture manager is accountable for pWin (probability of win) assessment and the gate review decision to invest proposal resources. A mature capture process has formal gates at 12 months, 6 months, and 30 days before RFP. A capture manager who consistently bids low-pWin opportunities is not doing their job: the goal is to win, not to submit proposals.
- **Proposal Manager: Leads proposal development in response to the RFP. Coordinates writing, pricing, graphics, reviews, and submission. Often the most intense role in the company during a bid.** Proposal development for a major IDIQ vehicle or large standalone contract can involve 20–50+ people working for 30–60 days. Costs \$500K–\$2M+ for large bids. The proposal manager enforces the compliance matrix (Section L), coordinates color reviews (Pink, Red, Gold teams), and manages the production schedule to avoid a last-minute scramble. A late or non-compliant proposal is an automatic disqualifier.
- **Program Manager (contractor-side): Once a contract is awarded, the contractor PM executes the work. Responsible for delivering on the contract, managing the team, tracking cost and schedule, and maintaining the customer relationship.** Contractor PMs manage the day-to-day: cost reports, deliverable schedules, subcontractor oversight, COR engagement, risk management. On cost-type contracts they submit

monthly CPRs (Cost Performance Reports). Their biggest risk is scope creep: work the customer wants but the contract doesn't authorize.

- **Contracts Manager: The contractor's counterpart to the government CO. Manages the contract terms, handles modifications, REAs (Requests for Equitable Adjustment), and any disputes.** The Contracts Manager is the prime's legal agent on contract matters. They interpret FAR/DFARS clauses, draft modifications, prepare REAs when the government changes scope, and escalate claims if disputes arise. In cost disputes, they are the frontline against DCAA audit findings.
- **Subcontractors: Companies hired by the prime to perform portions of the work. The prime is responsible for their performance and must flow down relevant contract requirements.** Flow-down clauses are critical: FAR 52.244-6 requires the prime to include certain clauses in all subcontracts. DFARS 252.244-7001 governs the prime's purchasing system. If a sub performs poorly, the government holds the prime accountable; the prime cannot deflect responsibility to the sub in CPARS or claims proceedings.

Different roles, one mission: win the work, then deliver the promise.

Government Role vs. Industry Counterpart

GOVERNMENT ROLE	WHAT THEY DO	INDUSTRY COUNTERPART
Program Manager (PM)	Defines requirements, manages program execution, accountability for cost/schedule/performance	Contractor Program Manager
Contracting Officer (CO)	Awards and administers contracts, legal authority to obligate government	Contracts Manager / Legal Counsel
COR	Monitors contractor performance day-to-day, technical interface	Program Manager / Task Lead
Budget Analyst	Manages program funding, tracks obligations and expenditures	Finance / Pricing Manager
Test & Evaluation	Evaluates whether system meets requirements in testing	Test Team / Systems Engineering
Legal / JAG	Reviews contracts for legal compliance, advises CO	Corporate Counsel

The Oversight Community: They're Watching

Defense acquisition doesn't happen in a vacuum. Multiple oversight organizations monitor programs and contracting actions. And their findings can halt a program, trigger a Congressional investigation, or result in personal liability for individuals who cut corners.

Key Oversight Organizations Every Acquisition Professional Should Know

- **GAO (Government Accountability Office):** The "congressional watchdog." Audits government programs and contracting actions, issues public reports. Contractors can protest contract awards to the GAO. GAO bid protests must be filed within 10 days of debriefing or 10 days of when the protester knew (or should have known) the basis of protest. GAO has 100 days to issue a decision. The GAO sustain rate is ~40%: meaning roughly 4 in 10 protests result in some form of corrective action (re-evaluation, re-solicitation, or cancellation). Filing a protest does not automatically stay contract performance.
- **DoD IG (Inspector General):** Investigates fraud, waste, and abuse within DoD. Can refer cases for criminal prosecution. The DoD IG is independent of the military services and reports directly to the Secretary of Defense and Congress. IG hotlines allow anonymous reporting. IG investigations can lead to suspension and debarment proceedings against contractors, criminal referrals to DOJ, and career-ending findings for government employees. The False Claims Act allows whistleblowers to bring qui tam suits and share in recoveries.
- **DCAA (Defense Contract Audit Agency):** Audits contractor costs on cost-reimbursable contracts. Approves contractor accounting systems. A DCAA finding can halt progress payments. DCAA employs ~5,000 auditors and audits billions in contract costs annually. A DCAA "inadequate" determination on a contractor's accounting system can result in withheld progress payments and can disqualify the firm from cost-reimbursable contracts. Common DCAA findings: inadequate timekeeping, unallowable cost commingling, indirect rate structure problems, and missing written policies.
- **DCMA (Defense Contract Management Agency):** Provides contract administration services for DoD, including overseeing contractor performance and EVMS (Earned Value Management System) surveillance. DCMA assigns Contract Management Officers (CMOs) to large defense contractors: often co-located at contractor facilities. For ACAT I programs, DCMA conducts formal EVMS surveillance and can issue Corrective Action Requests (CARs) if the contractor's earned value system is not functioning properly. DCMA also conducts past performance assessments that feed into CPARS.
- **CAPE (Cost Assessment and Program Evaluation):** Produces independent cost estimates for major programs. Often the source of uncomfortable but accurate news about program cost overruns. CAPE ICEs (Independent Cost Estimates) are required for all ACAT I programs before Milestone B. CAPE estimates are typically 20–40% higher than program office estimates: and historical data shows CAPE is more accurate. A PM whose program CAPE has estimated at 3x the program office number faces a difficult milestone review. Engaging CAPE early and addressing their methodology concerns is far better than being surprised at the review.

THE MOST IMPORTANT RELATIONSHIP YOU'LL HAVE AS A CONTRACTOR

It's not with the Contracting Officer. It's with the COR. The COR is your day-to-day technical interface, the person who writes your performance assessments (CPARS), and one of the most influential voices when the government decides whether to exercise your option year or re-compete the contract. Treat every interaction with your COR as a performance evaluation in progress.

Key Terms

Congress

The legislative branch of the U.S. government. Congress authorizes and appropriates the money the DoD spends. Nothing gets funded without Congressional approval. Congress also oversees how the money is spent.

OSD

Office of the Secretary of Defense. The top civilian leadership of the DoD. The Secretary of Defense, Deputy SecDef, and their staff set defense policy and oversee the military services.

Military Services

The Army, Navy, Air Force, Marine Corps, and Space Force. Each service manages its own acquisition programs and budgets, with oversight from OSD.

SAE

Service Acquisition Executive. The senior civilian official in each service (e.g., ASA(ALT) for Army, SAF/AQ for Air Force) responsible for all acquisition programs within that service.

PEO

Program Executive Officer. A senior military officer or civilian who oversees a portfolio of related acquisition programs and reports to the SAE. As of 2026, many PEO organizations are being reorganized into Portfolio Acquisition Executives (PAEs) under the FY2026 NDAA, a role with broader cross-program funding and requirements authority.

PM

Program Manager. The person accountable for executing a specific acquisition program: delivering the capability on cost, on schedule, and with the required performance.

CO

Contracting Officer. The government official with legal authority to award and administer contracts. Works with the PM but is independently accountable for contracting actions.

COR

Contracting Officer's Representative. A government employee (often technical staff on the program) delegated by the CO to monitor contractor performance day-to-day. Critical relationship for contractors.

Prime Contractor

The company that holds the government contract directly. Responsible for all deliverables, including work performed by subcontractors.

Subcontractor

A company hired by the prime contractor to perform a portion of the work. Has no direct contract with the government. Only with the prime.

CAPE

Cost Assessment and Program Evaluation. The OSD office that produces independent cost estimates for major programs. CAPE estimates are typically higher than program office estimates and are historically more accurate.

DAU

Defense Acquisition University. The DoD's training institution for the acquisition workforce. Provides the certifications (DAWIA) that acquisition professionals need to advance their careers.

Knowledge Check

Who has the legal authority to obligate the U.S. government to pay on a defense contract?

A. The Program Manager

Incorrect for the COR question. The Program Manager (PM) oversees overall program execution, cost, schedule, performance, and risk, but does not perform day-to-day contract surveillance. The COR specifically monitors contractor performance and acts as the technical interface, reporting observations to the CO.

B. The Program Executive Officer (PEO)

Incorrect. The PEO is a senior acquisition official who oversees a portfolio of related programs. The PEO provides strategic oversight and reviews major milestones, but does not conduct day-to-day contract monitoring. That operational-level role belongs to the COR.

✓ C. The Contracting Officer (CO)

Incorrect for surveillance duties specifically. The CO has legal authority to enter into contracts but cannot personally monitor all contracts. The CO delegates surveillance duties to the COR in writing via a COR appointment letter. The CO remains the decision-making authority, the COR is the CO's eyes and ears.

D. The COR

WHY

Only a warranted Contracting Officer (CO) can legally obligate the government. A PM can direct technical work within an existing contract, but only the CO can award a contract, authorize additional work, or make the government legally responsible to pay.

What does a COR (Contracting Officer's Representative) primarily do?**A. Negotiates contract prices with contractors**

Incorrect for the COR role. Price negotiation is exclusively the Contracting Officer's authority. The COR has no authority to commit the government financially or change contract terms. Informal COR negotiation (a 'constructive change') creates unauthorized obligations.

✓ B. Monitors contractor performance day-to-day and serves as the technical interface between the program office and the contractor

Correct. This is the COR's core function. The COR reviews deliverables, validates contractor invoices by confirming work was performed, documents performance in CPARS, and maintains a COR file. The COR cannot commit the government to additional work, that requires a contract modification signed by the CO.

C. Approves contractor invoices and processes payments

Incorrect as stated. The COR certifies that goods or services were received before the CO approves payment. The finance office processes the actual disbursement. The COR's role is technical verification, not final financial approval.

D. Writes the Independent Government Cost Estimate (IGCE)

Incorrect for COR. Writing the IGCE is primarily the responsibility of the Requirements Owner or program office technical staff. The COR focuses on performance monitoring after award. The IGCE is typically written by the government cost estimator or senior technical lead.

WHY

The COR is delegated by the CO to monitor contractor performance in technical and day-to-day matters. The COR does not have contracting authority. They cannot direct changes or authorize additional work. But they are often the most influential voice in CPARS ratings, option year exercises, and future requirements.

What is the role of DCAA in defense acquisition?

A. DCAA writes requirements documents for major programs

Incorrect. DCAA (Defense Contract Audit Agency) audits contractor costs, it does not write requirements documents. Requirements documents (ICD, CDD, CPD) are written by military requirements personnel through the JCIDS process.

✓ B. DCAA audits contractor costs and approves accounting systems on cost-reimbursable contracts

Correct. DCAA is the DoD's dedicated contract audit organization. On cost-type contracts, DCAA audits forward pricing proposals, reviews contractor accounting system adequacy, audits incurred cost submissions, and provides the CO with an audit opinion. An inadequate DCAA finding on an accounting system can disqualify a contractor from receiving cost-type contracts.

C. DCAA manages IDIQ vehicles on behalf of the government

Incorrect. DCAA does not manage contracts or vehicles, that is DCMA's role. DCMA (Defense Contract Management Agency) is the DoD's contract management and administration arm. The two often work together: DCAA audits, DCMA administers.

D. DCAA provides independent cost estimates for Congressional reporting

Incorrect. Independent cost estimates for Congressional reporting are provided by OSD CAPE (Cost Assessment and Program Evaluation), not DCAA. CAPE conducts independent cost estimates (ICEs) for major programs at milestone reviews. DCAA's estimates are contract-specific audit opinions.

WHY

DCAA (Defense Contract Audit Agency) audits contractor costs on cost-reimbursable contracts and approves contractor accounting systems. A DCAA finding of inadequate systems can halt progress payments and even derail contract awards. Contractors doing cost-type work must maintain DCAA-compliant accounting from day one.

A contractor has a dispute about a contract modification the CO issued. Where can they formally protest?

A. The Program Manager's office

Incorrect for final contract decisions. The PM's office drives requirements and manages technical execution, but the CO is the legal signatory with binding authority. The PM cannot unilaterally make binding contract decisions.

B. The Service Acquisition Executive

Incorrect for day-to-day contract decisions. The SAE is a senior political/career appointee who provides oversight of the acquisition enterprise for an entire military service. The SAE delegates authority downward to PEOs and PMs.

✓ C. The GAO (Government Accountability Office)

Incorrect for contract decisions. GAO is a Congressional watchdog, it does not make contract decisions. GAO adjudicates bid protests but its role is oversight, not contract execution.

D. The Department of Justice

Incorrect. DOJ handles legal enforcement and litigation, it does not make contract award decisions. The contracting officer, acting under delegated authority, is the only government official who can legally bind the government to a contract.

WHY

Contractors can file bid protests at the GAO for award-related disputes, or file claims with the CO and appeal to the Armed Services Board of Contract Appeals (ASBCA) or Court of Federal Claims for post-award disputes. The GAO is the most common protest venue for award disputes and has a 100-day resolution requirement.

In defense acquisition, who is the Program Manager (PM) ultimately accountable to?**A. The Contracting Officer**

Incorrect. The CO (Contracting Officer) is the only government official with legal authority to enter into, administer, and terminate contracts on behalf of the government. This authority is delegated in writing via a 'Warrant' (Certificate of Appointment under FAR 1.603).

B. The prime contractor

Incorrect. The prime contractor signs contracts with the government but does not make contract decisions on behalf of the government. The government's contracting decisions rest exclusively with the Contracting Officer.

C. Congress directly

Incorrect for individual contract decisions. Congress shapes acquisition through legislation (NDAA, appropriations acts) but does not make individual contract award decisions. Congressional intent is implemented through executive agency regulations.

✓ D. The Program Executive Officer (PEO), who reports to the Service Acquisition Executive (SAE)

Correct. This is the standard ACAT I chain of authority. The PEO is the MDA for ACAT II and III programs and reports to the SAE. For ACAT I programs, MDA is at the USD(A&S) level. The SAE is the service-level acquisition executive (e.g., ASA(ALT) for Army).

WHY

The PM reports to their PEO (Program Executive Officer), who reports to the SAE (Service Acquisition Executive). E.g., SAF/AQ for Air Force programs. For ACAT I programs, the SAE may report to the USD(A&S) at OSD. Congress oversees the overall system but does not directly supervise individual PMs.

DOD ACQUISITIONS FOUNDATIONS · LESSON 4

Roles & Career Paths

10 min

Understand the major acquisition workforce career fields, certifications, and how they interact.

The Acquisition Workforce

The DoD acquisition workforce comprises over 150,000 professionals across 14+ career fields. These individuals are responsible for planning, managing, and overseeing the acquisition of goods and services from the private sector. The workforce is governed by DAWIA (Defense Acquisition Workforce Improvement Act), which establishes education, training, and experience requirements for each career field.

Key Acquisition Career Fields

CAREER FIELD	PRIMARY ROLE	KEY CERTIFICATION
Program Management (PM)	Lead and manage acquisition programs from cradle to grave	DAU PM certifications (FL I, II, III)
Contracting Specialist / KO	Manage the contracting process, award and administer contracts	DAWIA Contracting + FAC-C
Financial Management	Budget formulation, execution, and cost analysis	DAWIA FM + CDFM
Systems Engineering (SE)	Technical oversight and systems architecture	DAWIA SE certifications
Logistics	Lifecycle sustainment planning and execution	DAWIA LOG certifications
Cost Estimating	Develop program cost estimates and ICEs	CCEA certification

THE PROGRAM MANAGER (PM) ROLE

The Program Manager is the single accountable individual responsible for all aspects of a program: cost, schedule, and performance. PMs must be skilled communicators, technical leaders, budget managers, and risk mitigators simultaneously. A good PM translates technical requirements into acquisition strategy while managing stakeholder relationships up and down the chain of command.

What Makes a Successful PM?

- **Deep understanding of the FAR/DFARS and acquisition regulations** A PM who doesn't understand FAR Part 15 (source selection), Part 16 (contract types), and Part 43 (modifications) will make decisions that create legal problems and protest risk. The PM doesn't need to be a lawyer, but must understand enough to know when to call one and to avoid unauthorized commitments.

- **Ability to read and interpret financial reports (EVM, budget exhibits)** A PM who can't read a Cost Performance Report (CPR) or explain the difference between cost variance and schedule variance is flying blind. EVM data is the primary objective indicator of program health: understanding what it's telling you and what it isn't is a core PM competency.
- **Experience managing contractor relationships and COR oversight** The PM sets the tone for the government-contractor relationship. Too adversarial and you get contractual warfare and claims. Too cozy and you lose objectivity on performance assessment. The PM should ensure CORs are properly trained, delegated, and actively monitoring: not just signing off on invoices.
- **Skill in risk management and mitigation planning** Risk management in DoD programs means maintaining a live risk register, computing probability $\times$ impact scores, assigning risk owners, funding mitigation in the budget (Management Reserve), and tracking burn-down at program reviews. PMs who treat risk management as a checkbox exercise consistently get surprised by the risks they documented but didn't actively manage.
- **Proficiency in requirements management and scope control** Requirements creep is a leading cause of program overruns. A PM must understand the approved requirements baseline (CDD/CPD) cold, recognize when contractor or government actions change scope, and ensure all scope changes go through formal contract modification. Informal scope direction: even from senior officials: that isn't contractualized creates constructive changes and claims.
- **Stakeholder management across technical, financial, and leadership teams** A PM is the integrator of competing equities. The engineer wants more testing time. The finance analyst says you're out of money. The PEO wants the schedule. The contractor wants a modification. Managing these tensions without losing any stakeholder completely is the core PM leadership challenge.
- **Understanding of the PPBE cycle to protect program funding** Programs that don't advocate effectively in the PPBE process lose funding to programs that do. A PM needs to understand how to build and defend a POM submission, what a Budget Change Letter (BCL) is and when to use one, and how Congressional markup affects their budget line. Passive PMs get their money taken.

THE CONTRACTING OFFICER (CO) ROLE

The Contracting Officer is the only person legally authorized to obligate the U.S. government to spend money on a contract. They hold a "warrant". A written delegation of authority specifying dollar thresholds they can sign up to. COs manage the full contract lifecycle: developing solicitations, evaluating proposals, negotiating terms, awarding contracts, issuing contract modifications, and closing out contracts. They are the legal guardians of the procurement process and must ensure every action complies with the FAR, DFARS, and applicable agency supplements. Without a CO's signature, nothing is official. Not a delivery order, not a modification, not even a letter acknowledging a contractor claim.

What Makes a Successful Contracting Officer?

- **FAR/DFARS mastery: understands what the regulations require and where flexibility exists** COs are warrant holders: their authority derives from their understanding of the regulatory framework. A CO who

misapplies a FAR clause creates a defective solicitation that triggers protests. One who knows where the regulations allow flexibility (e.g., limited-competition justifications, streamlined procedures) can move programs faster while staying legally defensible.

- **Negotiation skills: ability to drive fair and reasonable pricing without litigation risk** CO negotiations must result in a "fair and reasonable" price determination documented in the price negotiation memorandum (PNM). The CO must balance getting a good deal for the government against pricing the contractor into a loss position that triggers default or claims. This requires genuine business judgment, not just regulatory compliance.
- **Business acumen: understands contractor cost structures, profit motives, and market dynamics** COs who understand that a contractor's fully burdened labor rate includes fringe, overhead, and G&A: not just salary: negotiate more effectively and make better contract type decisions. Understanding industry economics also helps COs identify when a proposal is unrealistically low (likely to lead to disputes) or inflated (requiring harder negotiation).
- **Legal judgment: recognizes unauthorized commitments, organizational conflicts of interest, and protest risks** Unauthorized commitments: when a government employee without contracting authority directs contractor work: create major legal and financial problems. The CO must prevent them before they happen and ratify them correctly when they do. OCI recognition and mitigation is also critical; an OCI that isn't identified early can invalidate an entire source selection.
- **Writing precision: contract language must be unambiguous and legally defensible** Ambiguous contract language is the most common source of claims. If the SOW can be read two ways, the contractor will read it the way that supports more money. Every clause, performance standard, and deliverable description should have a single clear interpretation that both parties agree to before award.
- **Contracting Specialist position (federal Series 1102) + DAWIA Contracting certification (Foundational, Practitioner, Advanced)** The 1102 series is the career field code for government contracting specialists -- you will see it on USAJOBS when job hunting. DAWIA (Defense Acquisition Workforce Improvement Act) certifications at three levels are required for career progression. The contracting warrant -- which grants actual authority to obligate the government -- is issued separately by the Head of Contracting Activity based on demonstrated competence and certification.
- **FAC-C certification (for civilian agencies); warrant issued by the Head of Contracting Activity (HCA)** FAC-C (Federal Acquisition Certification in Contracting) is the civilian agency equivalent of DAWIA for contracting. DoD primarily uses DAWIA. Both certification paths require coursework, experience, and continuous learning. The contracting warrant is the specific legal authority granted to an individual CO: it specifies the dollar threshold up to which they can independently sign contracts.

THE CONTRACTING OFFICER'S REPRESENTATIVE (COR) ROLE

The COR is the government's eyes and ears on an active contract. Nominated by the PM and formally appointed by the CO in writing, the COR monitors contractor performance on the ground. Accepting or rejecting deliverables, documenting performance issues, and providing technical guidance within the contract's scope. Critically, the COR has NO contract authority: they cannot direct changes, approve additional work, or modify contract terms. Any direction that changes cost, schedule, or scope must go through the CO via a formal contract modification. A COR who oversteps. Even with good intentions. Can create an "unauthorized commitment" that exposes the government to liability.

What Makes a Successful COR?

- **Deep technical knowledge of the contracted work: the COR must understand what "good" looks like** A COR who can't evaluate whether a deliverable meets the standard is useless as a quality monitor. The CO selects CORs for their technical expertise in the contracted area. A COR for an IT services contract needs IT knowledge; a COR for a systems engineering contract needs systems engineering background. Generalist CORs on technical programs are a serious program risk.
- **Documentation discipline: maintains a contract file with dated records of every interaction with the contractor** COR files become critical evidence in disputes, protests, and CPARS challenges. Courts and boards of contract appeals look at contemporaneous records to determine what the parties understood, agreed to, and performed. COR files with gaps, undated entries, or vague summaries consistently disadvantage the government in adversarial proceedings.
- **Scope awareness: instantly recognizes when a contractor request or government action would change contract scope** Scope creep often starts subtly: a senior government official asks the contractor to "just take a look at" something outside the contract. The COR's job is to flag these immediately and route them to the CO for a formal modification before any work begins. Unauthorized scope direction is a constructive change, and the COR who allows it creates government liability.
- **Mandatory COR training (CLC 106 via DAU) and formal written appointment letter from the CO** Without the written appointment letter, the COR has no legal authority. The letter specifies the contract number, the COR's authorized duties, what they cannot do (direct changes, commit funds), and reporting requirements to the CO. Losing the appointment letter or failing to update it when contracts are modified is a common administrative gap that creates legal exposure.
- **Independence: comfortable escalating contractor performance problems even when there is political pressure not to** COR independence is often tested on high-visibility programs where leadership wants good news. A COR who whitewashes a CPARS rating because the contractor has friends in high places, or who accepts a marginal deliverable to avoid conflict, is failing their primary function. The COR's obligation is to the contract and the government: not to the contractor relationship.
- **CORs must be a government employee (military or civilian): contractors cannot serve as CORs** This is a fundamental inherently governmental function restriction. A contractor serving as a COR would be overseeing another contractor's performance: an obvious conflict. Some programs improperly rely on

contractor "COR support" to supplement understaffed government COR functions; this must be structured as advisory only, never as actual COR authority.

THE FINANCIAL MANAGER (FM) ROLE

The Financial Manager is the PM's budget expert. The person who ensures the program has the right type of money, at the right time, in the right amount. DoD uses multiple appropriation types (RDT&E, Procurement, O&M, MILCON) and each has strict rules about what it can fund and when it expires. The FM formulates the program's budget exhibits (POM submissions), tracks obligations and expenditures against plan, manages the program's Spend Plan, and serves as the early warning system for funding shortfalls. When the PM says "we're running out of money," the FM already knew two months ago.

What Makes a Successful Financial Manager?

- **Appropriations law fluency: understands the "color of money" rules and what each fund type can legally purchase** Financial managers are the program office's first line of defense against ADA violations. They must know not just what each appropriation type covers, but the nuances: the bona fide needs rule, the severable vs. non-severable services distinction for multi-year O&M contracts, and when a modification requires new funding vs. can be executed under existing obligations.
- **PPBE cycle expertise: knows how to build a winning POM submission and defend it through the budget cycle** The Program Objective Memorandum (POM) is the primary document through which programs compete for future funding. A weak POM submission: one that doesn't clearly articulate capability gaps, risk of under-funding, and compelling program performance: loses funding to programs that advocate more effectively. The FM must understand the OSD budget review process and how to respond to Program Budget Decisions (PBDs).
- **EVM literacy: can read a CPR/IPMR and identify early indicators of cost growth** Financial managers translate EVM data into budget implications. A declining CPI trend means the EAC is growing: which means the program will need more money than currently appropriated. Identifying this 12-18 months out gives leadership time to find additional funding or make scope decisions. Identifying it at the end of the fiscal year creates a crisis.
- **Anti-Deficiency Act (ADA) awareness: recognizes obligations that exceed available funding before they become violations** ADA violations are reported to Congress and OMB. They can result in administrative discipline and criminal prosecution. Common traps: obligating a multi-year services contract against single-year O&M funds without severable services analysis; continuing a contract modification after funds expire; over-obligating a contract line. The FM must know these risks and build in controls.
- **CDFM (Certified Defense Financial Manager) or DAWIA FM certification strongly preferred** CDFM is administered by the American Society of Military Comptrollers (ASMC) and is widely respected in the defense financial management community. DAWIA FM certification is the DoD-specific track. Both require demonstrated experience and competency. For GS-0501 financial management positions, FM certification is increasingly required for promotion above GS-12.

- **Works closely with the PM and CO: no contract mod should be signed without FM confirming funds are available** This three-way coordination (PM/CO/FM) is the essential check on fiscal integrity. The PM wants the modification executed. The CO needs to verify it's legally proper. The FM must confirm that the right color of money is available in the right amount before the CO signs. When this coordination breaks down: usually under time pressure: ADA violations result.

THE SYSTEMS ENGINEER (SE) ROLE

The Systems Engineer translates warfighter requirements into a technically feasible, integrated system design. SEs own the technical baseline. The specifications, interface control documents, and system architecture that define what the contractor must build. On major programs, the SE leads Technical Reviews (SRR, PDR, CDR) and tracks technical performance measures (TPMs) to ensure the system will meet Key Performance Parameters (KPPs). The PM relies on the SE to catch technical risk early, before it becomes a cost and schedule problem. SEs bridge the gap between operational needs and engineering reality.

THE COST ESTIMATOR ROLE

The Cost Estimator builds the government's independent assessment of what a program should cost. The Independent Cost Estimate (ICE). This estimate is produced independently of the contractor and is used to validate contractor proposals during source selection and at milestone reviews. On ACAT I programs, CAPE (Cost Assessment and Program Evaluation) produces a separate independent cost estimate called a CAPE ICE. Cost estimators use parametric models (SEER, PRICE H, ACEIT), analogous estimates from historical programs, and engineering build-ups. Their work directly influences whether a program is funded, restructured, or cancelled.

THE LOGISTICS / LIFE CYCLE SUSTAINMENT PLANNER ROLE

Logistics professionals plan how a system will be supported throughout its operational life. Maintenance, spare parts, technical manuals, training, and depot support. The Life Cycle Sustainment Plan (LCSP) is their primary product and is reviewed at every milestone. Sustainment costs often exceed development and procurement costs over a system's lifetime: for many defense systems, 70% of total ownership cost is sustainment. A Logistics professional who engages late. After the design is locked. Has almost no ability to reduce those costs. Early involvement in design trade-offs (reliability, maintainability, testability) is where sustainment value is created.

How the Roles Work Together on a Program

ROLE	PRIMARY AUTHORITY	WHAT THEY OWN	KEY LIMITATION
Program Manager (PM)	Cost, Schedule & Performance accountability	Overall program success: the integrator	No contracting authority; cannot sign contracts
Contracting Officer (CO)	Warrant authority to bind the government	Contract award, mods, and closeout	Cannot direct technical work beyond contract terms
COR	Delegated by CO (in writing)	Day-to-day technical oversight of contractor	ZERO contract authority: advisory role only
Financial Manager (FM)	Funds certification authority	Budget formulation, execution, and spend plan	Cannot obligate funds without CO involvement
Systems Engineer (SE)	Technical baseline authority	Requirements, specs, and technical reviews	Cannot approve contract changes unilaterally
Cost Estimator	Independent estimate authority	ICE and cost realism analysis	Advisory: does not set program budgets alone
Logistics/Sustainment	LCSP ownership	Sustainment planning across system lifecycle	Often engaged too late; must be involved at design

The authority ladder in one line: **CO/KO signs the contract. PM manages execution. MDA approves the big decisions. COR inspects the deliverables.** Four different people, four different jobs, mix them up and you get an unauthorized commitment.

BREAKING IN

Many successful acquisition professionals transition from the military (especially as O-3/O-4 officers), from technical engineering fields, or from federal service in adjacent roles. DoD's Pathways program and Defense Acquisition University offer entry-level pathways. Target GS-9 or GS-11 program analyst roles to build your foundation.

INTERMEDIATE

Building Cross-Functional Credibility as a PM

A mid-career PM sits at the intersection of the technical, contracting, and financial communities. But is authoritative over none of them. Your COR has more contract expertise. Your cost analyst understands EVM better. Your systems engineer owns the technical baseline. Your power comes from orchestration, not expertise. The key skill is knowing enough about each domain to ask the right questions, catch

inconsistencies, and drive decisions. In practice: read every contract modification before signing, attend DCAA floor check briefings even when not required, and sit with the systems engineer during CDRs. The informal knowledge you build is what makes you credible when you challenge a contractor on cost realism.

ADVANCED**THE PM AS PROGRAM ARCHITECT: SHAPING THE ACQUISITION BEFORE IT STARTS**

The most impactful PMs shape their programs before Milestone B. Not after. At the senior level, your job is acquisition strategy: contract type selection, source selection criteria weighting, EVMS thresholds, and data rights. These decisions, made 18-24 months before contract award, determine whether your program is executable. A CPIF with a 70/30 share ratio on a software program with unstable requirements will give the contractor every incentive to slow-roll risk mitigation. A FFRDC study that locks in requirements before the market is ready will waste a year. Senior PMs think about incentive structures, competitive dynamics, and industrial base health. Not just Gantt charts.

Key Terms**DAWIA**

Defense Acquisition Workforce Improvement Act. Establishes education, training, and experience standards.

APDP

Acquisition Professional Development Program. The framework for acquisition workforce development.

FAC-PM

Federal Acquisition Certification for Program and Project Managers.

PCO

Procuring Contracting Officer. Has authority to enter into, administer, and terminate contracts.

COR

Contracting Officer's Representative. The government's technical eyes and ears on a contract.

Knowledge Check

What law established education, training, and experience standards for the DoD acquisition workforce?

A. FAR Part 1

✓ B. DAWIA (Defense Acquisition Workforce Improvement Act)

C. DoDI 5000.02

D. Competition in Contracting Act

WHY

DAWIA, enacted in 1990 and regularly updated, is the foundational law that professionalized the DoD acquisition workforce by establishing standards for each of the 14+ career fields.

A Contracting Officer's Representative (COR) primarily serves which function?

A. Award and sign contracts on behalf of the government

✓ B. Serve as the technical monitor ensuring contractor performance meets contract requirements

C. Develop the acquisition strategy

D. Approve program funding at milestone reviews

WHY

The COR is the government's technical representative on a contract, responsible for monitoring contractor performance, documenting issues, and providing technical direction within the scope of the contract. They cannot modify contract terms: that authority belongs to the Contracting Officer (CO).

Which acquisition career field series (OPM) is responsible for contracting specialists and Contracting Officers?

- A. Series 0340
- ✓ **B. Series 1102**
- C. Series 0501
- D. Series 0801

WHY

The 1102 occupational series (Contract Specialist) covers acquisition contracting professionals, including those who become warranted Contracting Officers. Series 0340 is the general Program Management series; the Air Force uses Series 1101 for Program Managers specifically. Series 0501 is Financial Administration, and 0801 is General Engineering.

The Program Manager is singularly accountable for which triad of program outcomes?

- A. Requirements, funding, and workforce
- ✓ **B. Cost, schedule, and performance**
- C. Risk, quality, and delivery
- D. Planning, programming, and budgeting

WHY

The PM is the single individual accountable for cost, schedule, and performance (the "iron triangle" of program management). These three dimensions are inherently linked: changing one almost always affects the others.

Which certification is most aligned with federal agency Program and Project Managers specifically?

- A. PMP (Project Management Professional)
- ✓ **B. FAC-PM (Federal Acquisition Certification for Program/Project Managers)**
- C. CDFM (Certified Defense Financial Manager)
- D. FAC-C (Federal Acquisition Certification in Contracting)

WHY

FAC-PM is the federal-government-specific certification for Program and Project Managers, issued in accordance with OMB policy. PMP is the industry-standard certification. Both are valued; FAC-PM is specifically tailored to federal acquisition program requirements.

A Procuring Contracting Officer (PCO) differs from an Administrative Contracting Officer (ACO) in that the PCO:

A. Monitors day-to-day contract performance at the contractor's facility

✓ **B. Has authority to enter into contracts during source selection and award**

C. Is responsible for contract closeout only

D. Reviews and approves technical data packages

WHY

The PCO has the authority to enter into, negotiate, and award contracts. The ACO administers contracts post-award, often at or near the contractor's facility. Both require a Contracting Officer warrant, but their roles in the contract lifecycle are distinct.

Which DoD organization serves as the premier educational institution providing free training for acquisition professionals?

A. National Defense University

✓ **B. Defense Acquisition University (DAU)**

C. Air War College

D. Armed Forces Staff College

WHY

Defense Acquisition University (DAU) provides free, DoD-focused acquisition training to acquisition workforce members. Courses range from foundational (e.g., ACQ 101) to advanced and are required for DAWIA certification at each level.

In the context of DAWIA certification levels, what does "Foundational Level" represent?

A. Entry-level experience only, no formal training required

✓ **B. The first tier of certification demonstrating core competencies in a career field**

C. A temporary authorization pending full certification

D. Certifications reserved for GS-7 and below

WHY

DAWIA certification is structured in three levels: Foundational (Level I equivalent, entry-level competency), Practitioner (Level II, mid-level), and Advanced (Level III, senior). Each level requires a combination of DAU training hours, education, and experience.

A COR who directs a contractor to perform work outside the contract's defined Statement of Work is:

A. Exercising appropriate government oversight authority

✓ B. Potentially creating an unauthorized commitment and Anti-Deficiency Act risk

C. Performing their standard role in contract administration

D. Exercising authority delegated by the PCO

WHY

A COR directing out-of-scope work creates an unauthorized commitment: a potentially illegal act that can bind the government to pay for work without proper authority or funding. Only the Contracting Officer can direct changes to contract scope. This is a leading cause of COR-related legal problems.

DoD's Pathways Recent Graduates program typically targets entry-level positions at which GS grade levels?

A. GS-5 to GS-7

✓ B. GS-7 to GS-9

C. GS-11 to GS-12

D. GS-13 to GS-14

WHY

The Pathways Recent Graduates program typically offers positions at GS-7 to GS-9 for recent graduates (within 2 years of degree completion). This provides a structured entry into federal service with formal training, mentoring, and a clear pathway to full career positions.

DOD ACQUISITIONS FOUNDATIONS · LESSON 5

How the Government Actually Buys

14 min

Understand the difference between a standalone contract and a task order, what an IDIQ vehicle is, and why most DoD service spending flows through vehicles rather than one-off contracts.

The Most Important Distinction in Defense Contracting

If you take away one thing from this lesson, let it be this: most DoD service spending does not flow through standalone contracts. It flows through IDIQ vehicles. Understanding the difference between a standalone contract and a task order under an IDIQ is not a technicality. It determines your entire BD strategy as a contractor, and your entire acquisition approach as a government PM.

What Is a Standalone Contract?

A standalone contract is exactly what it sounds like: a single contract awarded for a specific, defined requirement. The government identifies a need, writes a solicitation (RFP. Request for Proposal), posts it publicly (usually on SAM.gov), evaluates proposals from interested contractors, selects a winner, and awards a contract. Standalone contracts have their own scope, ceiling value, period of performance, and contract terms. When the work is done and the contract closes, the relationship is over unless the government re-competes the requirement. Standalone contracts are common for unique requirements. A specific construction project, a one-time study, or a sole-source procurement. But for recurring services, they're inefficient because the government has to run a full competition every time the requirement repeats.

What Is an IDIQ?

An IDIQ (Indefinite Delivery, Indefinite Quantity) contract is a vehicle. An umbrella agreement that pre-qualifies one or more contractors to do a certain category of work for a defined period, up to a ceiling dollar amount. Think of an IDIQ like a staffing agency agreement: the government says "we've pre-approved these firms to do this type of work at these rates, for up to \$500M over 5 years." Then, when the government has a specific need, it issues a task order to one of those firms. Without having to run a full competition from scratch each time. The IDIQ itself guarantees the contractor a minimum amount of work (often nominal. Sometimes as little as \$1) and sets the maximum ceiling. The government is not obligated to spend the full ceiling. Actual revenue only flows when task orders are issued.

THE KEY INSIGHT ABOUT IDIQS

Winning a spot on an IDIQ vehicle does NOT guarantee revenue. It guarantees the right to compete for task orders. Battle 1 is winning the IDIQ. Battle 2, the one that never ends, is winning task orders. Many contractors make the mistake of treating an IDIQ win as a revenue event. It is a hunting license, not a paycheck.

Standalone Contract vs. Task Order Under an IDIQ

FACTOR	STANDALONE CONTRACT	TASK ORDER (IDIQ)
Competition	Full & open: any qualified company can bid	Among IDIQ holders only (fair opportunity)
Timeline to award	6–18 months for major contracts	2–8 weeks typical
Proposal effort	Full volumes: technical, past performance, price	Lighter: page-limited, approach-focused
Scope	Fully defined at award	Defined per individual task order
Entry barrier	Open to all eligible offerors	Must already hold the IDIQ vehicle
Who bears the cost risk	Depends on contract type (FFP, cost-plus, etc.)	Same: depends on task order type
Best used for	Unique, one-time, or highly specialized needs	Recurring, category-based service needs

Single Award vs. Multiple Award IDIQs

IDIQs come in two flavors, and which one you're dealing with changes everything about BD and task order strategy.

Single Award IDIQ

- **One contractor wins the vehicle. All task orders go to that firm without further competition.** Single-award IDIQs require the government to justify why only one firm can meet the requirement: it's a high bar. They're most common for highly specialized support contracts where the government needs continuity (e.g., a single systems engineering support contractor for a specific weapons program). Losing a single-award IDIQ recompile means losing 100% of that revenue.
- **Revenue certainty is high: if you won the IDIQ, you're getting the work.** This certainty comes at a price: winning a single-award IDIQ is extremely competitive precisely because the stakes are so high. Firms often spend \$1M–\$5M+ on a proposal for a major single-award IDIQ. The upside is that once won, there's no further competition: just execution.
- **Entry is extremely competitive because the stakes are so high.** For single-award IDIQs above \$100M, expect 5–15 qualified offerors all investing heavily in proposals. Win probability is low for any individual

firm, but the expected value is high because the winner gets everything. Small businesses rarely compete successfully for single-award IDIQs above \$50M without a strong teaming arrangement.

- **Typically used when the requirement is highly specialized and only one qualified source exists, or when a single integrated team is operationally necessary.** The government must justify a single-award IDIQ with a determination that multiple awards are not practicable: a high legal bar. Common examples: a program office that needs one fully integrated systems engineering support contractor, or a specialized capability where only one firm has the required past performance and security clearances.
- **Example: A single contractor holding the USSOCOM systems engineering support contract.** SOCOM and other special operations commands often use single-award IDIQs for highly classified, mission-critical support work where contractor turnover would be operationally damaging. The incumbent advantage on recompete is enormous: and losing such a vehicle is a major business setback.

Multiple Award IDIQ (MA-IDIQ)

- **Multiple contractors (often 5–20+) hold the vehicle. Each task order is competed among the awardees under FAR 16.505 fair opportunity rules.** The number of awardees varies widely by vehicle. OASIS+ has hundreds of awardees per pool. A large Air Force A&AS IDIQ might have 9. More awardees means easier entry but more competition per task order. The government prefers MA-IDIQs for most services because they maintain ongoing competition and price pressure throughout the contract period.
- **Entry is easier than single-award, but you must keep winning task orders to generate revenue.** Getting on an MA-IDIQ is the prerequisite, not the win. Many firms win vehicle positions and then generate little or no revenue because they lack the BD infrastructure to pursue task orders continuously. A firm with 10 IDIQ positions and no dedicated task order capture team will consistently underperform a firm with 3 positions and strong BD.
- **Requires sustained BD effort post-award: the competition never stops.** Task order BD is fundamentally different from new vehicle pursuit. It's relationship-intensive, faster-paced, and requires deep understanding of the specific program office's requirements. The best predictor of task order win rate is COR relationship quality: firms that invest in COR engagement consistently outperform those focused only on proposal quality.
- **The dominant model for defense services: OASIS+, AFCAP, LOGCAP, agency-specific A&AS IDIQs.** OASIS+ (GSA) covers professional services government-wide. AFCAP (Air Force Contract Augmentation Program) and LOGCAP (Army Logistics Civil Augmentation Program) are major service-specific logistics and contingency support IDIQs. Agency-specific MA-IDIQs like USAFE A&AS V limit competition to named awardees for theater-specific requirements.
- **Example: Eight contractors hold a \$500M enterprise IT support IDIQ. Each task order RFP goes to all eight; they submit proposals; one wins.** This is the standard pattern for most defense services work. The government writes a task order SOW, issues it to all pool holders, evaluates proposals under simplified procedures (not full FAR Part 15), and awards to best value. Proposal turnaround is typically 7-30 days: much faster than a new contract competition.

Where Does the Money Come From? A Quick Note on Contract Types

Not all contracts pay the same way. The two most common structures you'll encounter are: Firm Fixed Price (FFP): The contractor delivers a defined result for a fixed price. If it costs more than expected, the contractor absorbs the loss. If it costs less, the contractor keeps the profit. Best for well-defined, low-risk work. Cost-Plus: The government reimburses the contractor's actual costs plus a fee (profit). Used when the work is complex or uncertain enough that a fixed price would require too much risk premium or be impossible to set fairly. Common in R&D and early development. We'll cover contract types in depth in the Contracts module. But knowing FFP vs. cost-plus at the basic level will help you understand conversations you'll have from day one.

FOR CONTRACTORS: THE SINGLE MOST IMPORTANT STRATEGIC MOVE

Get on the right IDIQ vehicles early. Most DoD service spending flows through pre-existing vehicles. If your company doesn't hold the vehicle, you cannot compete for the task orders. Building a portfolio of relevant IDIQ positions. OASIS+, relevant agency-specific IDIQs, GWACs. Is the infrastructure of a sustainable defense business. Chasing standalone contracts is slower, more expensive, and less predictable.

FOR GOVERNMENT PERSONNEL: WHY THIS MATTERS TO YOU

As a PM, budget analyst, or acquisition professional, understanding whether a requirement will be satisfied through a standalone contract or a task order shapes your acquisition timeline, your documentation requirements, and how much influence you have over the competitive field. A task order under an existing IDIQ can move in weeks. A new standalone contract can take 12–18 months. Know which tool you're working with before you plan your program timeline.

Key Terms

Contract

A legally binding agreement between the government and a contractor that defines what will be delivered, for how much, and by when. Once signed by a Contracting Officer, both parties are legally obligated to perform.

Task Order (TO)

An individual delivery of work placed under a pre-existing IDIQ contract. The IDIQ is the umbrella; task orders are the specific assignments issued under it.

IDIQ

Indefinite Delivery, Indefinite Quantity. A contract type where the government commits to a minimum quantity and the contractor agrees to deliver up to a maximum ceiling. Actual orders are issued as task orders.

Standalone Contract

A direct contract award for a specific, fully defined requirement. Involves its own solicitation, competition, proposal, evaluation, and award. Used when the requirement is unique or defined enough to stand alone.

Base Year + Options

A common contract structure where the initial period is the base year (e.g., 12 months) with multiple option years the government can exercise if performance is satisfactory. Example: 1 base + 4 options = 5 year max.

Period of Performance (PoP)

The date range during which contract work must be performed. Starts at contract award (or a specified date) and ends when all work is complete.

Ceiling Value

The maximum total dollar amount the government can spend under a contract or IDIQ. The contractor is not guaranteed the ceiling. Only actual task orders place firm obligations.

Fair Opportunity

The FAR 16.505 requirement that all awardees on a Multiple Award IDIQ receive a fair opportunity to compete for each task order. The default rule for all MA-IDIQ task orders.

Single Award vs. Multiple Award

A Single Award IDIQ gives one contractor exclusive rights to all task orders. A Multiple Award IDIQ puts several contractors on the vehicle; each task order is then competed among them.

Knowledge Check

What is an IDIQ contract?

A. A contract for a single, fully defined delivery at a fixed price

Incorrect. This describes a Firm Fixed Price (FFP) contract for a definite quantity, not an IDIQ. IDIQs (Indefinite Delivery/Indefinite Quantity) are used when the government cannot define the exact quantity or timing of future orders at award time.

✓ **B. An umbrella contract that pre-qualifies contractors to do a category of work, with actual orders placed as task orders up to a ceiling value**

Correct. An IDIQ contract is an umbrella vehicle awarded to one (Single Award) or multiple (Multiple Award) contractors. The government commits only to a minimum guarantee and cannot exceed the ceiling. Real work is placed through individual task orders as requirements emerge.

C. A contract type only used for construction projects

Incorrect. IDIQs are used across all acquisition categories, services, products, IT, professional support, and some construction. They are not limited to construction. Construction has its own specialized vehicles (JOC, MATOC), but IDIQ is a general acquisition tool.

D. A government-to-government agreement for shared services

Incorrect. This describes an Interagency Agreement (IAA) or Economy Act agreement, not an IDIQ. IDIQs are competed contracts between the government and private industry.

WHY

An IDIQ (Indefinite Delivery, Indefinite Quantity) is an umbrella contract that establishes terms, pricing, and a qualified pool of contractors for a category of work. The government then issues task orders for specific needs without re-competing from scratch each time.

A contractor wins a spot on a \$200M Multiple Award IDIQ. How much revenue have they guaranteed themselves?

A. \$200M: the full ceiling value

Incorrect. The ceiling is the maximum total value of all task orders that can be placed over the contract life: it does not guarantee any particular contractor that amount. Each contractor is guaranteed only the minimum and must compete for every task order.

B. \$40M: their proportional share among 5 awardees

Incorrect. IDIQ contracts do not split the ceiling equally. The \$200M ceiling is a government-side limit on total spending. Each awardee competes for individual task orders. One contractor could win 90% of orders; another could win nothing beyond the minimum guarantee.

✓ C. Only the minimum guarantee (often nominal, sometimes as little as \$1)

Correct. At IDIQ award, a contractor is legally guaranteed only the minimum, which by law must be at least \$1 but in practice is often a few thousand dollars for large GWACs. Everything beyond that minimum requires winning individual task order competitions.

D. Nothing until the IDIQ is exercised by the ordering agency

Incorrect, but partially right conceptually. The government commits to a minimum guarantee at IDIQ award. Beyond that minimum, the contractor receives nothing until they win a task order competition. The minimum guarantee is the only legally committed obligation.

WHY

Winning an IDIQ position guarantees only the minimum order (often nominal. Sometimes \$1). The ceiling value represents the maximum the government can spend, but actual revenue only flows when task orders are issued and won. This is why sustained BD effort after IDIQ award is critical.

Under FAR 16.505, what is the default rule for competing task orders on a Multiple Award IDIQ?**A. The government can award to any awardee at its sole discretion**

Incorrect for MAIDIQ. Under FAR 16.505, Multiple Award IDIQ contracts require a 'fair opportunity' process for task orders over the threshold. Sole discretion applies only to Single Award IDIQs.

B. Task orders rotate equally among all awardees

Incorrect. There is no round-robin or rotation requirement in federal acquisition law. Under MAIDIQ, each task order requires a fair opportunity competition. The government selects the best value offeror for each task order.

✓ C. All awardees must receive a fair opportunity to be considered for each task order

Correct. FAR 16.505(b) requires fair opportunity procedures for all task orders over the threshold. The contracting officer must notify all IDIQ awardees and evaluate their submissions using the factors established in the base IDIQ. Exceptions (urgency, one source) are narrow.

D. Task orders go to the lowest bidder automatically

Incorrect. Federal acquisition uses 'best value' not lowest-bid for most task orders. While price is always considered, other factors like technical approach and past performance influence the award. Only very small simplified acquisitions may use price alone.

WHY

FAR 16.505 requires the government to provide all MA-IDIQ awardees a "fair opportunity" to be considered for each task order. This is the default rule. Exceptions (urgency, only one awardee capable, logical follow-on, etc.) are narrow and must be documented.

Why do most defense service requirements flow through IDIQ vehicles rather than standalone contracts?

A. IDIQ contracts are cheaper for the government to administer than standalone contracts

Incorrect as a general statement. IDIQs reduce per-order procurement lead time but add administrative burden through task order competitions, performance monitoring across multiple awardees, and ceiling tracking. The efficiency gain is in speed and flexibility, not necessarily lower administrative cost.

✓ B. IDIQ vehicles allow the government to issue task orders quickly without running a full competition each time, saving months of acquisition lead time

Correct. This is the primary strategic value of IDIQ vehicles. Instead of a 12-18 month standalone acquisition for each requirement, an agency can issue a task order competition under an existing IDIQ in 30-90 days. The base competition vets contractors once; task orders build on that investment.

C. Standalone contracts are illegal for service requirements

Incorrect. Standalone contracts are fully legal for services and used frequently for large, well-defined requirements. There is no prohibition on standalone contracts for services.

D. IDIQ vehicles give contractors more profit margin

Incorrect. Contract type (not vehicle type) drives profit margin. IDIQs can be structured with FFP, cost-plus, T&M, or hybrid task order contract types. The underlying economics of each task order, not the IDIQ vehicle itself, determine contractor margin.

WHY

IDIQs allow the government to issue task orders for specific needs in weeks rather than the 6–18 months a full standalone competition takes. The upfront competition to qualify for the vehicle is rigorous, but subsequent task orders are much faster. Which is why IDIQ vehicles dominate defense service spending.

What is the primary difference between a Single Award IDIQ and a Multiple Award IDIQ from a contractor's perspective?

A. Single Award IDIQs have higher ceilings than Multiple Award IDIQs

Incorrect. There is no rule linking award type to ceiling value. Some of the largest IDIQ vehicles (OASIS+, ALLIANT 3, SEWP V) are multiple-award with multi-billion-dollar ceilings.

B. Single Award IDIQs are only available to small businesses

Incorrect. Single Award IDIQs are available to any contractor that wins the competition. A SAIDIQ gives one contractor all task orders without further competition. They require more government justification, particularly for awards over \$112M in DoD.

✓ C. Single Award IDIQs give one contractor all task orders without further competition; Multiple Award IDIQs require competing for each task order among all awardees

Correct. This is the fundamental structural difference. A Single Award IDIQ gives the winning contractor a monopoly on all work under that vehicle. A Multiple Award IDIQ (MAIDIQ) pools multiple qualified contractors and requires fair opportunity competition for each task order.

D. Single Award IDIQs are administered by GSA; Multiple Award IDIQs are administered by the ordering agency

Incorrect. Both types are administered by whichever contracting office runs the underlying vehicle, GSA, DoD, NASA, or any other agency. The administering office is not determined by award type.

WHY

A Single Award IDIQ winner gets all task orders. No further competition required, but only one firm wins the vehicle. A Multiple Award IDIQ puts several firms on the contract, then each task order is competed among them under fair opportunity rules. More firms can participate in MA-IDIQs, but no firm is guaranteed any specific task order.

DOD ACQUISITIONS FOUNDATIONS · LESSON 6

The Acquisition Lifecycle

18 min

Walk through how a defense capability goes from "someone identified a need" to "the warfighter has the system in the field". Understanding the phases, key decision points, and why the process is structured the way it is.

What the Acquisition Lifecycle Actually Is

The acquisition lifecycle is just the structured set of phases a program moves through, from someone identifying a need all the way to a delivered capability in the field. Each phase has a name, a purpose, and a review at the end where leadership decides whether the program is ready to move forward. That is the whole concept. Everything else in this lesson is detail on how those phases actually work. Every piece of military equipment, every software system, every support service the DoD uses started the same way: someone identified a need. Maybe a combatant commander said troops don't have a reliable way to jam enemy communications. Maybe an Air Force pilot said the radar is 30 years old and can't detect modern threats. Maybe a program office said it takes six months to get spare parts and that's operationally unacceptable. That need, if it's real, validated, and the DoD decides a new capability is the right answer, eventually becomes an acquisition program, and that program goes through a structured lifecycle to transform the need into a delivered capability in the field. This lesson walks you through that lifecycle at a practical level. Not every regulatory detail, but the logic of why each phase exists and what matters at each step.

Before the Acquisition Starts: Validating the Need

Before any acquisition program formally begins, the DoD has to establish that there is a genuine capability gap. Something the warfighter needs that doesn't exist yet or doesn't work well enough. This is done through the JCIDS process (Joint Capabilities Integration and Development System). A document called the Initial Capabilities Document (ICD) captures the gap in warfighter terms: not "we need a new radar" but "our platforms cannot detect X type of threat at Y range, which creates Z operational risk." The ICD is reviewed and validated by the joint requirements community to ensure the need is real and joint. Meaning it affects more than just one service. Once the ICD is validated, the DoD makes a Materiel Development Decision (MDD). A formal decision that a material solution (a new or upgraded system) is the right answer and that an acquisition program should begin. As the program moves forward, the requirement gets more specific: the ICD becomes a Capability Development Document (CDD) before Milestone B, spelling out exact performance thresholds, and a Capability Production Document (CPD) before Milestone C, locking in the final production requirements. For the biggest programs, the Joint Requirements Oversight Council (JROC) has to sign off at each of these steps to confirm the requirement is still real and still worth the money.

JCIDS IN PLAIN ENGLISH

Think of JCIDS as the bouncer at the door before anyone gets to spend a dollar on a new program. Nobody just decides they want a new fighter jet or a new radio and starts buying one. Someone first has to prove, on paper, that there's a real gap the military can't currently cover, get that gap checked by a joint board so one service doesn't just invent a want, and only then does the door open to an actual acquisition program. The paperwork changes name as the program gets more specific, ICD, then CDD, then CPD, but the job is the same the whole way through: keep unproven wants from turning into funded programs.

The Six Acquisition Pathways: Choosing the Right Tool

This is where a lot of people get confused because the old "DoD 5000" process was a single, linear lifecycle that every program had to follow. The new Adaptive Acquisition Framework (AAF) recognizes that a simple services contract doesn't need the same oversight structure as a \$10 billion aircraft program. There are now six distinct pathways.

SIX LANES, ONE HIGHWAY

Picture a highway with six lanes, all headed to the same destination: a fielded capability. They are not different roads, they are different lanes on the same road, and each one has its own speed limit and rules. Major Capability Acquisition is the heavy-truck lane: slow, tightly regulated, built for the biggest loads. Software Acquisition is the express lane: fast, frequent check-ins, built for things that change every few months. Middle Tier is the passing lane: quick, but only for things that are already road-ready. Picking the wrong lane for your cargo is how programs end up stuck in traffic they never needed to sit in.

The Six AAF Pathways at a Glance

PATHWAY	BEST FOR	KEY TIMELINE	GOVERNING INSTRUCTION
Major Capability Acquisition (MCA)	Complex, expensive platforms and systems: ships, aircraft, ground vehicles	Milestone-driven; 10–20+ years	DoDI 5000.85
Middle Tier: Rapid Prototyping	Developing and demonstrating a new capability quickly	≤ 5 years to prototype fielding	DoDI 5000.80
Middle Tier: Rapid Fielding	Getting mature, available technology to the field fast	≤ 6 years to full fielding	DoDI 5000.80
Software Acquisition	Software-intensive systems using Agile/DevSecOps	6-month capability drops, continuous	DoDI 5000.87
Defense Business Systems	Enterprise IT: financial, HR, logistics systems	Business Capability Acquisition Cycle	DoDI 5000.75
Acquisition of Services	Service contracts above \$250M	Services acquisition strategy	DoDI 5000.74

THE MOST IMPORTANT PATHWAY TO UNDERSTAND FIRST: MCA

For anyone new to defense acquisitions, the Major Capability Acquisition (MCA) pathway is the one to learn first. It's the traditional milestone-driven process that has governed DoD acquisition for decades and that most regulations, oversight requirements, and career training are built around. Once you understand MCA, the other pathways are easier to grasp because you understand what they're departing from and why.

The MCA Lifecycle: Phase by Phase

The MCA pathway is organized into phases separated by milestone review decisions. Each phase has a specific purpose, and a program can only advance to the next phase after a Milestone Decision Authority (MDA) reviews the program's progress and approves the next step.

REAL TALK

Milestone phases sound like something reserved for fighter jet program managers, and honestly, that's not far off. But every major weapons system in the department runs on this exact map, so if you ever land on one of those programs, this is the terrain you're standing on. Even if you never sit through a Milestone A review in your life, it's worth knowing what a coworker means when they say a program is 'pre-Milestone B,' so you don't nod along pretending you understood.

Five phases, four milestone gates. This is the map every MCA program follows.

The MCA Lifecycle Phases

PHASE	GATE IN / GATE OUT	WHAT HAPPENS HERE
Materiel Solution Analysis (MSA)	MDD → Milestone A	Evaluate alternative solutions. Conduct the Analysis of Alternatives (AoA). Pick the approach. No building yet: just figuring out what to build.
Technology Maturation & Risk Reduction (TMRR)	Milestone A → Milestone B	Develop and mature the technology. Build prototypes. Reduce risk. Finalize requirements. Technology must reach TRL 6 before Milestone B.
Engineering & Manufacturing Development (EMD)	Milestone B → Milestone C	Build the actual system. Full engineering, integration, and developmental testing. This is where large development contracts are awarded.
Production & Deployment (P&D)	Milestone C → FRP Decision	Start Low Rate Initial Production (LRIP). Conduct operational testing (IOT&E). Ramp up to Full Rate Production.
Operations & Support (O&S)	FRP Decision → Disposal	Sustain the system in the field for its operational life: often 20–50+ years. The longest and most expensive phase.

Why Milestones Exist: Gates, Not Bureaucracy

It's tempting to see milestone reviews as bureaucratic hurdles. They're not. Or at least they shouldn't be. Each milestone is a structured decision point where senior leaders ask: is this program ready to advance? Is the technology mature enough? Are the cost estimates realistic? Is the contract strategy sound? Programs that skip milestone rigor. Or that receive approval before they're truly ready due to schedule pressure, Congressional interest, or optimistic staffs. Systematically overrun their cost and schedule estimates. The milestone structure exists because history has shown that programs pay a very high price for advancing before they're ready.

How Services Fit In

Not everything the DoD buys is a weapons system. The majority of defense contracts by volume are services. People doing work for the government. Services acquisitions follow the "Acquisition of Services" pathway for large requirements, or simpler acquisition approaches for smaller needs. For services, the lifecycle looks very different: define the requirement (usually a Performance Work Statement), compete the contract, award it, manage performance through the COR relationship, and re-compete at the end. The milestone review process for systems programs generally doesn't apply to services. Though services acquisitions above \$250M do have their own portfolio review requirements.

THE ONE THING TO REMEMBER ABOUT THE LIFECYCLE

Decisions made early in a program. During MSA, when the requirements are being set and the alternatives are being evaluated. Lock in 70–80% of the total program cost. The program office at MSA is typically small and underfunded. The program office at EMD is large and heavily resourced. But the cheaper, smarter investment is the thorough analysis early. Because every requirement that's poorly defined, every cost estimate that's optimistic, and every technology that isn't mature enough at Milestone B becomes an expensive problem to fix in EMD.

Key Terms

Adaptive Acquisition Framework (AAF)

The current DoD policy framework (DoDI 5000.02) that replaced the old one-size-fits-all acquisition model with six distinct pathways, each tailored to the type of capability being acquired.

Major Capability Acquisition (MCA)

The traditional milestone-driven pathway for complex, high-cost platforms (ships, aircraft, ground vehicles). Uses Milestone A, B, and C decision points. Governed by DoDI 5000.85.

Milestone Decision Authority (MDA)

The official who approves a program's entry into a new phase. For ACAT I programs, the MDA is typically the Service Acquisition Executive or USD(A&S).

Milestone A

The decision point that authorizes entry into the Technology Maturation & Risk Reduction (TMRR) phase. Approves the approach and allows R&D work to begin on the chosen solution.

Milestone B

The most significant commitment point in most programs. Authorizes entry into Engineering & Manufacturing Development (EMD). The phase where the system is actually built and tested. Large contracts are awarded here.

Milestone C

The decision point that authorizes Low Rate Initial Production (LRIP). Building a small quantity of units for testing and initial fielding.

Middle Tier of Acquisition (MTA)

A faster pathway for capabilities that need to reach the field within 5 years. Two sub-paths: Rapid Prototyping (prototype a new capability) and Rapid Fielding (field mature technology quickly).

Software Acquisition Pathway

A pathway specifically for software-intensive programs using Agile and DevSecOps delivery, with capability drops every 6 months rather than traditional milestones. Governed by DoDI 5000.87.

JCIDS

Joint Capabilities Integration and Development System. The DoD's process for identifying capability gaps and validating requirements before an acquisition program begins.

Acquisition Program Baseline (APB)

The formal cost, schedule, and performance baseline approved for a program. A PM's job is to execute within APB. Significant deviations trigger reporting requirements and potentially Congressional notification.

Knowledge Check

What is the Adaptive Acquisition Framework (AAF)?

A. A single, mandatory lifecycle all DoD programs must follow

Incorrect. The current AAF (Adaptive Acquisition Framework), established by DoDI 5000.02 (2020), provides six distinct pathways. Different program types follow different paths, a software product follows the Software Acquisition Pathway, not the Major Capability Acquisition path.

✓ **B. A DoD policy framework with six distinct acquisition pathways tailored to different types of programs**

Correct. The AAF provides six pathways: (1) Major Capability Acquisition, (2) Middle Tier, Rapid Prototyping, (3) Middle Tier, Rapid Fielding, (4) Software Acquisition, (5) Defense Business Systems, and (6) Acquisition of Services. Each pathway has different oversight, documentation, and speed requirements.

C. A Congressional mandate requiring DoD to reduce acquisition timelines by 50%

Incorrect. The AAF is a DoD policy framework, not a specific Congressional mandate. It was established through DoD's own policy issuances under the authority of the Under Secretary of Defense for Acquisition and Sustainment.

D. A GSA-managed contract vehicle for adaptive IT services

Incorrect. The AAF is a DoD acquisition policy framework, it is not a contract vehicle, not GSA-managed, and not specific to IT.

WHY

The AAF (Adaptive Acquisition Framework, DoDI 5000.02) replaced the old one-size-fits-all process with six distinct pathways: Major Capability Acquisition, Middle Tier (Rapid Prototyping and Rapid Fielding), Software Acquisition, Defense Business Systems, and Acquisition of Services. Each pathway is tailored to the type and complexity of the capability being acquired.

What happens at Milestone B in a Major Capability Acquisition program?

A. The program receives its initial funding and begins studying alternatives

Incorrect. Receiving initial funding and studying alternatives happens during the Materiel Solution Analysis (MSA) phase, before Milestone A. At Milestone B, the program enters Engineering & Manufacturing Development (EMD).

B. The program completes operational testing and begins Full Rate Production

Incorrect. Completing operational testing (IOT&E) and entering Full Rate Production occurs at the FRP Decision Review, after Milestone C. Milestone B is earlier in the lifecycle.

✓ C. The MDA approves entry into Engineering & Manufacturing Development: the system is built and tested

Correct. Milestone B is the most significant acquisition decision for most programs. The MDA reviews the program's readiness to begin detailed design, fabrication, and developmental testing. An Acquisition Program Baseline (APB) is established at this point.

D. The government issues the first task order under the program's IDIQ contract

Incorrect. Milestone B is an internal government decision gate, it approves the program's entry into the EMD phase. Contract actions may follow from Milestone B, but the milestone itself is the MDA's approval of program readiness.

WHY

Milestone B is the entry into Engineering & Manufacturing Development (EMD). The phase where the actual system is designed, built, integrated, and tested. It is the largest commitment point in most programs: large development contracts are awarded here, and a program's cost and schedule are formally baselined in the Acquisition Program Baseline (APB).

Before a Major Capability Acquisition program can begin, what document must first identify and validate the capability gap?**A. The Acquisition Program Baseline (APB)**

Incorrect. The APB is established at Milestone B and documents the program's approved cost, schedule, and performance parameters. Breaching APB thresholds triggers Nunn-McCurdy reporting (for MDAPs) and requires MDA approval to restructure.

B. The Capability Development Document (CDD)

Incorrect. The CDD is the JCIDS requirements document that bridges the capability gap analysis and the detailed system requirements. It is typically validated before Milestone B and defines Key Performance Parameters (KPPs), Key System Attributes (KSAs), and Additional Performance Attributes (APAs).

✓ C. The Initial Capabilities Document (ICD)

Correct. The ICD is the first formal requirements document in the JCIDS process. It documents the capability gap, the mission context, and potential approaches. Typically validated before Milestone A, it drives the Analysis of Alternatives (AoA).

D. The Analysis of Alternatives (AoA)

Incorrect. The AoA is an analytical study that evaluates alternative approaches to fill a capability gap. It assesses each alternative's operational effectiveness, suitability, cost, schedule, and risk. Typically completed during the MSA phase, it informs the Milestone A decision.

WHY

The Initial Capabilities Document (ICD) is the JCIDS document that identifies a validated capability gap in warfighter terms. Once validated by the requirements community, it triggers the Materiel Development Decision (MDD) and starts the acquisition program. The ICD describes the need. Not the solution.

Which AAF pathway would be most appropriate for a software system that needs to deliver new features to users every six months using Agile development methods?

A. Major Capability Acquisition (MCA)

Incorrect. The MCA pathway is used for complex, long-term programs developing new military capabilities. It involves Milestones A, B, and C, with full JCIDS documentation and ACAT designation. USD(A&S) has MDA for ACAT I programs. Examples: F-35, CVN-21, GBSD.

B. Middle Tier: Rapid Fielding

Incorrect. The Middle Tier Rapid Fielding pathway (Section 804 of FY2016 NDAA) is used to field proven capabilities with minimal development risk within 5 years of start. It bypasses some traditional milestone reviews for speed. Appropriate for commercial technology and productionized items with low technical risk.

✓ C. Software Acquisition Pathway

Correct. The Software Acquisition Pathway (DoDI 5000.87) is designed for software-intensive programs using Agile, DevSecOps, and continuous delivery practices. It replaces the traditional hardware-centric lifecycle with iterative cycles and uses a Life Cycle Cost Estimate (LCCE) instead of an APB.

D. Acquisition of Services

Incorrect. The Acquisition of Services pathway governs acquisition of professional and technical services, program support, IT services, logistics. It emphasizes performance-based service contracts, pre-competed IDIQ vehicles, and the 7-step services acquisition process. Services account for over 50% of DoD contract spending.

WHY

The Software Acquisition Pathway (DoDI 5000.87) is designed specifically for software-intensive programs using Agile and DevSecOps delivery models, with capability drops every six months. It does not use traditional milestones and instead uses a Capability Needs Statement rather than a CDD.

Why do acquisition experts say decisions made in the early phases (MSA) "lock in" most of the program's cost?

A. Because the government signs binding fixed-price contracts during MSA

Incorrect. MSA does not typically involve binding production contracts. MSA involves studies, analyses, and potentially technology demonstrations. The binding commitments come later, at Milestone B (entering EMD) and Milestone C (entering production).

B. Because Congress sets the budget for the entire program during MSA

Incorrect. Congress appropriates funds through annual legislation, not a one-time MSA determination. Cost estimates during MSA are rough and uncertain. The APB isn't established until Milestone B.

✓ C. Because requirements, design approach, and technology choices made early determine the complexity and cost of everything that follows: changing them later is exponentially more expensive

Correct. Studies show 70-80% of a program's life cycle cost is locked in by the end of the design phase. Adding requirements after EMD begins, or discovering technology limitations during production, creates delays and cost overruns that are orders of magnitude more expensive than getting it right during MSA.

D. Because contractors set their prices during the MSA phase and cannot change them

Incorrect. Contractors typically do not set binding prices during MSA. The major contract award (for EMD) comes after Milestone B. Prices are negotiated for each contract action.

WHY

Studies (including by RAND and CAPE) consistently show that 70–80% of a program's total life-cycle cost is locked in by the decisions made during MSA. What requirements are set, which alternative is chosen, and how mature the technology is. Changing requirements in EMD is 10–100x more expensive than getting them right during MSA. This is why early rigor, despite its lower visibility and funding, is the highest-value investment a program can make.

DOD ACQUISITIONS FOUNDATIONS · LESSON 7

ACAT Levels

18 min

Master ACAT levels, milestone decision authority, tailoring, and how program categorization drives oversight, reporting, and your day-to-day responsibilities as a PM.

What ACAT Actually Means

ACAT stands for Acquisition Category. It is simply a size and complexity bucket the government sorts every program into: ACAT I for the biggest, most expensive programs, down to ACAT IV for the smallest. That bucket then decides how much oversight your program gets. The first question I ask about any new DoD acquisition is: what ACAT is this program? The answer determines who approves your milestones, how many oversight reviews you will conduct, whether you need an independent cost estimate, whether you must report to Congress, and how much staff support you will have. An ACAT I program like the F-35 involves USD(A&S) as the MDA, mandatory SAR reports to Congress, CAPE independent cost estimates, and DoD-level reviews at every milestone. An ACAT III program may be approved by a PEO with minimal external oversight. Understanding ACAT levels is the starting point for understanding any DoD program's regulatory environment.

REAL TALK

ACAT levels have the personality of a filing cabinet, I know. But the level slapped on your program decides who signs off on your milestones and whether Congress gets a memo about your existence. Good news for most of you: you're almost certainly living at ACAT III or IV, where nobody in a suit on Capitol Hill has ever heard of your program. Learn ACAT I and II well enough to nod along when someone brings it up, then spend your actual energy on III and IV.

Same idea as a staircase: the higher the ACAT level, the more oversight comes with it.

ACAT Levels: Thresholds, MDA, and Key Requirements

ACAT	COST THRESHOLD (2024)	MDA	KEY REQUIREMENTS	REPORTING
ACAT ID	RDT&E > \$480M or Procurement > \$2.79B; OR designated by USD(A&S)	USD(A&S) or designated SAE	Full DoDI 5000 compliance; ICE required; full documentation	SAR to Congress; unit cost reporting; CAPE ICE
ACAT IC	Same thresholds as ACAT ID	Component Acquisition Executive (CAE) / SAE	Same as ACAT ID minus OSD-level milestone approval	SAR; CAPE ICE optional but often requested
ACAT II	RDT&E > \$185M or Procurement > \$835M	CAE (ASA(ALT), ASN(RDA), SAF/AQ)	Component-level ICE; DoDI 5000 compliance with tailoring	Component-level reporting; no mandatory SAR
ACAT III	Below ACAT I/II; designated by CAE	PEO or designated official	Significant tailoring available; streamlined documentation	Program office reporting only
ACAT IV	Non-major services/ acquisitions	Head of contracting activity	Minimum oversight; acquisition plan required	Internal only

The Adaptive Acquisition Framework: Six Pathways

DoDI 5000.02 (updated in 2020) introduced the Adaptive Acquisition Framework (AAF), replacing the previous "one-size-fits-all" linear acquisition model with six distinct pathways. Each pathway is tailored to a specific type of acquisition: (1) Major Capability Acquisition (MCA). The traditional ACAT process for large, complex defense systems; (2) Middle Tier of Acquisition (MTA). Rapid Prototyping (2 years) or Rapid Fielding (5 years); (3) Software Acquisition. For software-intensive systems using Agile/ DevSecOps; (4) Defense Business Systems (DBS). For ERP and business IT systems; (5) Acquisition of Services. For services contracts managed under the service acquisition framework; (6) Urgent Capability Acquisition. For combat-emergent needs addressable within 2 years.

AAF Pathway Selection Guide

PATHWAY	BEST FOR	TIMELINE	KEY ADVANTAGE
Major Capability Acquisition (MCA)	Large, complex systems requiring full R&D lifecycle (aircraft, ships, satellites)	10-20+ years	Full oversight and documentation: appropriate for highest-risk, highest-cost programs
Middle Tier: Rapid Prototyping	Technology demonstrations; filling known capability gaps quickly	≤ 2 years to field	Skip traditional milestones; prototype and learn fast
Middle Tier: Rapid Fielding	Mature technology ready to field with minor modification	≤ 5 years to field	Streamlined acquisition; use existing systems/platforms
Software Acquisition	Software-intensive systems; cloud apps; command and control IT	Continuous delivery cycles	Agile/DevSecOps; iterative delivery; avoid "big bang" software programs
Defense Business Systems	ERP, finance, HR, logistics IT systems	Per commercial release cycle	Use commercial software best practices; avoid military customization
Urgent Capability Acquisition	Combat-emergent gaps; urgent warfighter needs	≤ 2 years	Highest streamlining; near-direct fielding from combatant command request

ACAT DETERMINATION IS NOT STATIC: PROGRAMS GET RE-CATEGORIZED

Programs can be re-categorized upward if cost growth triggers higher ACAT thresholds. Which means more oversight, more reporting, and a new MDA. An ACAT II program that grows to ACAT I cost levels gets re-designated, and the PM suddenly must comply with full ACAT I requirements retroactively. This is another reason aggressive cost management is not just financial discipline. It is also a program management imperative to avoid triggering additional oversight burdens.

Selected Acquisition Report (SAR): The ACAT I Report to Congress

For ACAT I programs (MDAPs), the PM must produce a Selected Acquisition Report (SAR) annually. Or whenever a Nunn-McCurdy breach or other significant change occurs. The SAR is submitted to Congress and covers: current program description, total program cost (including all variants), cost and schedule changes from original baseline, current schedule, and performance status. The SAR is a legal disclosure document. PMs must ensure all data is accurate. False or misleading SARs can trigger Congressional investigations. For an experienced PM, the SAR is also a professional document that reflects directly on your program's credibility and your ability to manage to a baseline.

Key ACAT I Statutory Requirements: What Congress Requires

These requirements are statutory. They come from law (USC Title 10), not just DoD policy. That means Congress mandated them, and they cannot be tailored away regardless of what the PM or MDA prefers. As an ACAT I PM, these are non-negotiable obligations.

TAILORING: USE IT, DON'T ABUSE IT

Tailoring under DoDI 5000.02 allows PMs to adjust documentation, review, and reporting requirements based on program risk, complexity, and pathway. A small ACAT III program does not need a 200-page Acquisition Strategy or a full EVMS. Tailoring allows appropriate scaling. However, tailoring is a two-way street: the MDA can also impose additional requirements if the program needs more oversight. The best tailoring approach is to clearly justify every decision to omit or reduce a requirement. Not simply to skip paperwork but to demonstrate the program has equivalent risk management in place.

INTERMEDIATE

Managing Oversight Bodies as a Mid-Career PM

ACAT level determines not just who approves your milestones, but who scrutinizes your program continuously. An ACAT I program will have OSD Cost Assessment and Program Evaluation (CAPE) producing independent cost estimates, DOT&E reviewing your test plans, and OUSD(R&E) evaluating technology maturity. Understanding what each oversight body cares about. And feeding them the data they need proactively. Is a mid-career PM survival skill. CAPE cares about cost realism. DOT&E cares about whether testing is operationally realistic. OUSD(R&E) cares about TRL. Brief them early, brief them often, and never surprise them in a milestone review. Surprises at DAB reviews kill programs.

ADVANCED

TAILORING ACQUISITION: WHAT SENIOR PMS ACTUALLY DO AT MILESTONE B

The DoDI 5000 framework provides the default acquisition structure, but senior PMs know that almost everything can be tailored. At Milestone B, the MDA approves your Acquisition Program Baseline (APB), your contract strategy, and your tailoring decisions. Smart tailoring means: selecting the minimum oversight that still provides adequate risk visibility, adjusting milestone criteria to match your specific technology maturity, and requesting waivers for documentation requirements that add process burden without insight. The danger is tailoring away safeguards that exist for good reasons. ACAT I programs that waive IBR requirements or skip SEPs have consistently worse cost outcomes. Know which gates exist to protect the program. And which ones are just bureaucratic inertia.

Key Terms

ACAT

Acquisition Category. A classification system that determines the level of oversight, reporting, and milestone decision authority for a DoD acquisition program. Higher ACAT = more oversight.

ACAT I

Major Defense Acquisition Program. Total cost > \$480M (RDT&E) or \$2.79B (procurement). MDA is USD(A&S) or a designated Service Acquisition Executive (SAE). Highest oversight.

ACAT II

Major System. Total cost > \$185M (RDT&E) or \$835M (procurement). MDA is the DoD Component Acquisition Executive (CAE). Significant but less oversight than ACAT I.

ACAT III

Below ACAT I/II thresholds. MDA is designated by the CAE, typically a Program Executive Officer (PEO) or head of contracting activity. Streamlined oversight.

ACAT IV

Services and non-major acquisitions managed below ACAT III threshold. Component manages with minimal centralized oversight.

MDA

Milestone Decision Authority. The individual with authority to approve milestones, authorize program entry into lifecycle phases, and certify programs. Varies by ACAT level.

SAE

Service Acquisition Executive. The senior official responsible for acquisition programs within an Armed Service (ASA(ALT) for Army, ASN(RDA) for Navy/USMC, SAF/AQ for Air Force/Space Force).

Tailoring

The process of adjusting DoDI 5000.02 requirements to match the program's complexity, acquisition pathway, risk, and urgency. Not all programs need all standard requirements.

AAF

Adaptive Acquisition Framework. DoDI 5000.02's six acquisition pathways, allowing programs to select the pathway best suited to their type of acquisition.

MDAP

Major Defense Acquisition Program. An ACAT I program. Subject to full statutory reporting to Congress (SAR, unit cost reporting) and CAPE independent cost estimates at each milestone.

Knowledge Check

An ACAT I program (MDAP) requires which of the following that ACAT III programs do not?

A. A written acquisition strategy

✓ **B. A Selected Acquisition Report (SAR) submitted to Congress and an Independent Cost Estimate at each milestone**

C. A Performance Work Statement

D. A contract administration plan

WHY

ACAT I programs are MDAPs subject to statutory reporting requirements including annual SARs to Congress, CAPE independent cost estimates at each milestone, and Nunn-McCurdy unit cost reporting. ACAT III programs require an acquisition strategy and various documents, but are not subject to mandatory Congressional reporting via SAR.

The current ACAT I threshold for Research, Development, Test and Evaluation (RDT&E) is approximately:

A. \$100M

B. \$185M

✓ **C. \$480M**

D. \$2.79B

WHY

Programs with RDT&E costs exceeding approximately \$480M (or procurement costs exceeding \$2.79B) are classified ACAT I. These thresholds are adjusted periodically for inflation. Programs below \$185M RDT&E / \$835M procurement are typically ACAT III.

Under the Adaptive Acquisition Framework, the "Middle Tier. Rapid Prototyping" pathway is designed for programs that can:

A. Take 20 years to deliver a full production system

✓ B. Field a prototype or demonstration within 2 years, building on existing technology

C. Deliver software via continuous Agile sprints

D. Acquire commercial off-the-shelf services directly

WHY

Rapid Prototyping (AAF Middle Tier) allows programs to field a prototype or proof of concept within 2 years, bypassing traditional Milestone A-B-C review requirements. It is intended for programs using mature technology that can be demonstrated quickly. Not for programs requiring extensive R&D.

If an ACAT II program's costs grow and exceed ACAT I thresholds, what happens?

A. The program is automatically cancelled

✓ B. The program is re-designated as ACAT I, triggering additional oversight requirements, SAR reporting, and a new MDA

C. The program continues under ACAT II oversight regardless of cost growth

D. The PM must request a waiver from Congress

WHY

ACAT categorization follows cost. If a program grows beyond the ACAT II threshold into ACAT I territory, it must be re-designated ACAT I. This brings additional requirements: the MDA shifts to USD(A&S) or SAE, SAR reporting begins, CAPE ICE is required, and Nunn-McCurdy cost reporting applies. This is why PM cost management is both a financial and an oversight discipline.

Tailoring under DoDI 5000.02 allows a PM to:

A. Eliminate all oversight requirements for expedited programs

✓ **B. Adjust documentation, review, and reporting requirements based on program risk and pathway: with MDA approval**

C. Override Congressional reporting requirements for classified programs

D. Skip the Acquisition Program Baseline for rapid fielding programs

WHY

Tailoring is a policy mechanism. It requires MDA approval and must be documented in the Acquisition Strategy. Statutory requirements (SAR, Nunn-McCurdy, ICE for ACAT I) cannot be tailored away. Tailoring adjusts DoD policy requirements (specific documents, review formats, approval levels) to be appropriately scaled to the program's complexity and risk.

The Milestone Decision Authority (MDA) for an ACAT ID program is:

A. The Program Manager

B. The Program Executive Officer (PEO)

✓ **C. USD(A&S) or designated Service Acquisition Executive**

D. The Secretary of Defense

WHY

ACAT ID MDAs are USD(A&S) or a designated Service Acquisition Executive (SAE). The most senior acquisition officials in their respective Service. ACAT IC MDAs are also the SAE. For ACAT II, the MDA is typically the CAE. For ACAT III, it may be the PEO. The MDA is the one person who can approve milestone entry. The PM's most critical stakeholder.

An Acquisition Program Baseline (APB) documents which three key program parameters?

A. Contract type, vendor selection, and delivery location

✓ **B. Cost objectives (threshold and objective), schedule, and performance (key performance parameters)**

C. Funding levels, test events, and contractor team

D. Congressional appropriations, FYDP profile, and POM submission

WHY

The APB establishes the program's "triple constraint" baseline: cost (threshold and objective values), schedule (key milestone dates), and performance (Key Performance Parameters from the capabilities document). Breaches of APB threshold values trigger reporting and potentially MDA review. The APB is the official record of what the program promised to deliver at what cost and schedule.

The "Software Acquisition" pathway under the AAF is specifically designed for:

A. Purchasing commercial off-the-shelf software licenses

✓ **B. Software-intensive systems using continuous delivery, Agile development, and DevSecOps practices**

C. Programs that use software as a minor component of a hardware-dominant system

D. Business system acquisitions below \$185M

WHY

The Software Acquisition pathway (DoDI 5000.87) enables Agile/DevSecOps continuous delivery for software-intensive programs. Replacing the traditional "plan everything upfront, deliver years later" model. It is intended for programs where software is the primary deliverable and iterative development cycles are appropriate. It is distinct from Defense Business Systems, which handles ERP and administrative IT.

A Selected Acquisition Report (SAR) is submitted to Congress:

A. Monthly during active program phases

✓ **B. Annually, and additionally whenever a Nunn-McCurdy breach or significant baseline change occurs**

C. Only when a program is cancelled

D. Only at each major milestone decision

WHY

SARs are annual reports to Congress covering ACAT I program cost, schedule, and performance status. Special SARs are required when a Nunn-McCurdy breach occurs (significant 15% or critical 25% unit cost growth). They represent one of the primary mechanisms through which Congress exercises oversight over major defense programs.

What distinguishes an "Urgent Capability Acquisition" pathway program from a standard ACAT program?

A. It requires more oversight due to its urgency

✓ **B. It allows fielding a capability within 2 years through streamlined approvals, typically driven by combatant command urgent needs**

C. It is only available to classified programs

D. It eliminates all contractor competition requirements

WHY

The Urgent Capability Acquisition pathway (governed by DoDI 5000.02 Enclosure 8) enables rapid response to urgent warfighter needs. Typically within 2 years. It uses streamlined milestone approvals, expedited contracting, and flexible oversight tailored to the urgency. It does not eliminate competition where time allows, but allows use of other-than-full-and-open competition procedures under FAR 6.302.

Match each AAF pathway to the type of acquisition it is designed for:

CORRECT MATCHES

Major Capability Acquisition	Large complex defense systems: aircraft, ships, satellites
Middle Tier: Rapid Prototyping	Field a prototype within 2 years using mature technology
Software Acquisition	Software-intensive systems using Agile/DevSecOps continuous delivery
Urgent Capability Acquisition	Combat-emergent warfighter need requiring capability within 2 years

WHY

Each AAF pathway is designed for a specific acquisition type and risk profile. Matching the pathway to the program type is the first decision a PM makes. Choosing the wrong pathway creates unnecessary overhead (e.g., applying full MCA process to a software program) or insufficient oversight (e.g., using Rapid Fielding for an immature technology).

Place these ACAT I program milestone events in the correct lifecycle order:**CORRECT ORDER**

1. **Milestone A: Entry into Technology Maturation & Risk Reduction (TMRR)** Correct. Milestone A is the entry point into the TMRR phase. The MDA approves the program's approach to maturing technology and reducing risk before committing to a specific design. Key inputs: ICD validation, AoA completion, technology readiness assessments.
2. **Milestone B: Entry into Engineering & Manufacturing Development (EMD)** Correct. Milestone B is often the most consequential acquisition decision. The MDA approves the program's plan to develop, fabricate, and test the system. Key inputs: CDD validation, systems engineering plan, APB establishment, CAPE independent cost estimate for ACAT I.
3. **Milestone C: Entry into Production & Deployment (Low-Rate Initial Production authorized)** Correct. Milestone C authorizes Low-Rate Initial Production (LRIP): a limited production run before full-rate production. The MDA reviews developmental test results and approves the production contract strategy. LRIP units are used for operational testing (IOT&E) and initial fielding.
4. **Full-Rate Production (FRP) Decision: After IOT&E completion** Correct. The FRP Decision Review is held after operational testing (IOT&E) is complete and the Director, Operational Test and Evaluation (DOT&E) has certified results. The MDA approves full production.

WHY

The ACAT I lifecycle flows: Milestone A approves entry into Technology Maturation and Risk Reduction (TMRR) → Milestone B approves entry into Engineering and Manufacturing Development (EMD) → Milestone C approves entry into Production and Deployment → Full-Rate Production (FRP) Decision authorizes full production. Each milestone is preceded by a Defense Acquisition Board (DAB) review at the OSD level for ACAT ID programs.

DOD ACQUISITIONS FOUNDATIONS · LESSON 8

OTAs & Streamlined Acquisition

18 min

Understand OTAs, FAR Part 12, and streamlined acquisition paths. And why these vehicles represent some of the biggest BD opportunities for defense contractors today.

What Is an OTA, and Why Should You Care?

Let's start simple. An OTA (Other Transaction Authority) is not a contract. It's a different kind of legal agreement that lets the DoD make a deal with a company without following the normal federal contracting rulebook, the FAR (Federal Acquisition Regulation). Think of it this way: the FAR is the massive rulebook every government contract normally has to follow. An OTA is DoD saying, skip the rulebook, let's just agree on terms directly. Why does this exist? Because plenty of companies, especially tech firms, startups, and commercial businesses, simply refuse to deal with the FAR. It is too slow and too expensive to comply with, and it was built for traditional defense contractors, not Silicon Valley. So Congress gave DoD a workaround: OTAs let the government skip FAR, DFARS, and Cost Accounting Standards entirely and cut a more flexible deal, mostly for prototypes and early demonstrations of new technology. How they actually get used: DoD picks a company, often one that has never done business with them before, to build and demonstrate a prototype under an OTA. If that prototype works, DoD can move straight into production with that same company without running a brand new competition. That is the real prize here: skip the rulebook, prove your tech works, and walk straight into production. Does this matter if you are a contractor PM? Yes, directly. If your company has commercial technology and you have been avoiding DoD work because the compliance burden looked brutal, an OTA might be your actual way in. And if you are already doing defense contracts the traditional way, understanding OTA explains why some of your competitors are moving faster and cheaper than you. They are simply not following the same rulebook you are.

This Is a Real Business Advantage, Not Just Government Trivia

If your company builds commercial technology, an OTA is often the fastest way in the door at DoD. You skip the whole FAR rulebook and cut a straight deal instead. FAR Part 12 works the same way for a slightly different reason: if your product already sells commercially, you don't have to hand over certified cost data, follow Cost Accounting Standards, or build a separate government accounting system just to sell it to DoD. Here is why that actually matters to you: knowing this changes how you price your offer and where you spend your time chasing opportunities. A lot of winnable work never even reaches the normal bidding process, because it went through one of these faster paths instead. And if you are on the government side, here is the short version of why these paths exist at all: the normal rulebook was scaring off exactly the companies DoD wanted, cloud providers, AI firms, and other commercial tech companies who simply would not deal with it. OTAs and FAR Part 12 were built to fix that.

Acquisition Paths Compared: Regulatory Burden vs. Speed

PATH	REGULATORY BURDEN	TIMELINE	BEST FOR	KEY LIMITATION
Traditional FAR/DFARS Contract	Full FAR/DFARS/CAS compliance	12-36+ months	Complex development; cost-reimbursable R&D; traditional defense programs	Slow; excludes many commercial firms
FAR Part 12 Commercial	Reduced: no CAS, no certified cost data	6-18 months	Products/services available commercially without substantial modification	Item must be genuinely commercial
OTA Prototype	No FAR/DFARS/CAS	3-12 months	Innovative prototypes; non-traditional contractors; technology demonstration	Non-competitive follow-on must still meet criteria
OTA Production (follow-on)	No FAR/DFARS	1-6 months if directly follows prototype	Production of successfully demonstrated OTA prototype	Requires successful prototype; scale limits apply
Simplified Acquisition Procedures	Minimal	Days to weeks	Purchases < \$350K; immediate needs	\$350K ceiling; cannot be used to circumvent competition for larger requirements
Micro-Purchase	None	Hours	Purchases < \$15K; credit card (GPC)	\$15K ceiling; no competition required

The Best Part of OTA: You Can Skip Straight to Production

Here's the part that makes OTA such a big deal. If a company wins prototype work through an OTA and actually proves the tech works, DoD can hand that same company the production contract next, with no new competition required. Build it, prove it, get paid to build more of it. That almost never happens under normal FAR rules. This is exactly why OTAs get used for AI, software, and other fast-moving tech work with startups and commercial firms who would otherwise never bid on a DoD contract. OTA agreements can also include things a normal FAR contract can't: flexible payment terms, custom IP arrangements, payments tied to milestones instead of paperwork. (If you want the legal citation: this authority comes from 10 U.S.C. 4022, expanded out of an older law that originally covered NASA.)

OTA HAS REAL GUARDRAILS. HERE'S WHAT YOU CAN'T DO

OTA is powerful, but Congress built in real limits so it doesn't become a way to just dodge competition. Here's what those limits actually mean in practice. First, a prototype OTA has to genuinely involve a company that's new to DoD work, or the government has to be putting in real money of its own, at least a third of the total cost. You can't just hand an OTA to the same old defense primes and call it innovation. Second, it has to be an actual prototype, not a finished system you're quietly calling a prototype so you can skip the rules. Third, moving from prototype to production only works if the prototype actually worked. No demonstrated success, no shortcut to production. Fourth, big OTAs get watched closely: Congress has to be told about anything over \$500 million, and anything over \$250 million generally still needs some form of competition. Congress is actively looking for people who try to use OTA as a backdoor around competing production work, so don't be the example they use in a hearing.

Is It Actually "Commercial"? Here's the Test

The Contracting Officer makes the official call on whether something counts as commercial, but you're the one who has to hand them the market research that backs it up. Do that homework carefully. If someone successfully challenges your commercial item determination later, your whole acquisition strategy can unravel after the fact, which is a much worse time to find out you got it wrong.

The 6 Reasons the Government Can Skip Competition

- **Only one company can actually do it: unique technology, patent, or proprietary data** The classic example: spare parts that only the original manufacturer makes. If no other company can legally or practically deliver what's needed, competition isn't meaningful. Requires a written Justification & Approval (J&A) explaining why. FAR 6.302-1.
- **There's no time: a genuine emergency** An aircraft is grounded, a system fails in the field, and waiting 6 months for a competition isn't an option. Urgency sole-source is allowed but must be limited to the immediate need: once the emergency is resolved, competition resumes. FAR 6.302-2.
- **National security or classified programs** Some requirements can't be publicly competed without revealing sensitive information. Classified programs, ITAR-restricted technology, and certain intelligence-related work fall here. FAR 6.302-6.
- **Required by law: like small business set-asides** Some acquisitions are legally required to go to specific categories of vendors: 8(a) small businesses, service-disabled veteran-owned firms, women-owned firms. These aren't really "sole source" in the traditional sense: they're competition within a restricted pool. FAR 6.302-5.
- **International agreement requires a specific vendor** NATO standardization agreements, foreign military sales arrangements, or bilateral treaties may specify who must provide certain goods or services. FAR 6.302-4.

- **Maintaining a critical industrial base capability** If letting a defense-critical supplier go out of business would harm national security, the government can sole-source to keep them viable. Rare, and requires Secretary-level approval. FAR 6.302-3.

For Small Buys, There Is a Much Faster Lane

Anything under \$350,000 gets to skip most of the paperwork entirely. Usually three quotes is enough to call it competed, and none of the heavy evaluation and documentation rules that apply to bigger buys kick in. Below \$15,000, it gets even simpler: someone with a government purchase card can just buy it, no competition needed at all. One warning worth remembering: you can't chop a \$500,000 need into three \$150,000 purchases just to stay under the limit. That's called split purchasing, and it's illegal, not a clever workaround.

CONGRESS IS WATCHING OTA MONEY CLOSELY, AND THE NUMBER IS GROWING FAST

OTA spending went from about \$3.4 billion in 2017 to over \$23 billion recently. That kind of growth gets attention. Congress is specifically worried about people using OTA to dodge competition on production work that should have been openly bid, or stretching a follow-on production award way past what the prototype actually proved. If your OTA quietly starts looking like a normal production contract that skipped competition, expect questions, and possibly an investigation.

WHERE PMS ACTUALLY USE OTA TODAY

In practice, PMs reach for OTA for things like AI demos with Silicon Valley companies, cybersecurity prototypes with startups, fast software builds with vendors who'd never touch a normal contract, and cloud platform tests. The one rule to hold onto: it has to genuinely be a prototype or demonstration, not production wearing a disguise. Keep your legal and contracting team close. The single most common mistake is treating OTA as a clever way to skip straight to sole-source production instead of what it's actually meant for.

INTERMEDIATE

OTA Strategy for Mid-Career PMs: When and How to Use Them

Other Transaction Agreements under 10 U.S.C. § 4022 offer significant flexibility: no FAR applicability, no Cost Accounting Standards, and the ability to engage non-traditional defense contractors who won't bid on traditional contracts. For mid-career PMs, the critical skill is knowing when OTA fits. And when it doesn't. OTAs excel for prototype and rapid fielding work with commercial or non-traditional performers. They fail for programs requiring long-term cost accountability, competitive follow-on production (unless structured carefully), or sustained government oversight of contractor financials. An OTA that transitions to a sole-

source production contract without competition will face legal scrutiny. Structure the prototype OTA from day one to enable competitive production awards.

ADVANCED**THE LEGAL BOUNDARIES OF STREAMLINED ACQUISITION: WHERE SENIOR PMS GET BURNED**

FAR Part 12 commercial item authority and OTAs are powerful tools, but senior PMs know the legal tripwires. Commercial item determinations require a market analysis demonstrating the item is sold to the general public in substantial quantities. Labeling something "commercial" without adequate justification creates GAO protest risk and audit exposure. For OTAs: the "significant non-traditional contractor involvement" requirement is frequently gamed but increasingly scrutinized. If your "non-traditional" partner is a JV with a traditional prime as the majority partner, a DoD IG audit will flag it. The OTA authority explicitly prohibits using them to circumvent the Clinger-Cohen Act or the Competition in Contracting Act for production. Know the statutory text, not just the guidance.

Key Terms

OTA

Other Transaction Authority. Statutory authority allowing DoD to enter agreements (not contracts) for prototype projects and follow-on production outside FAR/DFARS requirements.

Other Transaction Agreement

An agreement (not a procurement contract) executed under OTA authority. Not subject to FAR, DFARS, CAS, or most standard acquisition regulations.

FAR Part 12

Acquisition of Commercial Products and Commercial Services. Streamlined procedures for buying items available in the commercial marketplace, with reduced regulatory burden.

Commercial Item

An item sold or offered in the commercial marketplace for non-government purposes. FAR Part 12 allows acquisition with fewer regulations and no certified cost or pricing data requirement.

SAP

Simplified Acquisition Procedures. Streamlined procurement process for purchases below the SAT (\$350K). Faster, less documentation, but still requires competition where practical.

SAT

Simplified Acquisition Threshold, \$350K (effective October 1, 2025). Acquisitions below this threshold use SAP. Between SAT and \$750K there are additional micro-purchase/simplified procedures.

Micro-Purchase

Purchases at or below \$15K. May be made by any government employee with a purchase card without competition requirement (FAR Part 13.2).

Sole Source

Award without competition. Requires justification under FAR 6.302. Valid reasons include: only one responsible source, urgency, national security, follow-on R&D.

COTS

Commercial Off-The-Shelf. Products sold or used commercially without modification. COTS acquisition is the fastest, cheapest path but requires active market research.

10 USC 4022

The primary statutory authority for DoD prototype OTAs and follow-on production OTAs. Allows non-traditional defense contractors to participate without the FAR compliance burden.

Knowledge Check

What makes OTA (Other Transaction Authority) attractive to non-traditional defense contractors like tech startups?

A. OTA provides larger contracts than FAR-based contracts

✓ B. OTA agreements are not subject to FAR, DFARS, or CAS requirements: eliminating compliance costs that deter commercial firms

C. OTA guarantees sole-source follow-on production

D. OTA eliminates all intellectual property protections for the government

WHY

The primary appeal of OTA for nontraditional contractors is freedom from FAR/DFARS/CAS compliance. The accounting, reporting, and audit requirements that add significant overhead costs and complexity. Companies like commercial AI firms, cloud providers, and defense tech startups often refuse traditional DoD contracts specifically because of this compliance burden. OTA removes those barriers.

Under 10 USC 4022, a follow-on production OTA (without competition) is permitted when:

A. The program manager approves it

✓ B. The prototype project was competitively awarded and successfully demonstrated

C. Congress has not objected within 30 days

D. The original OTA was below \$100M

WHY

A key benefit of prototype OTAs is the ability to award follow-on production to the same performer without competition. IF the prototype was competitively awarded (or met the nontraditional contractor requirement) AND was successfully demonstrated. This production must directly follow from the demonstrated prototype; using it to award unrelated production work is OTA misuse.

A product qualifies as "commercial" under FAR Part 12 when:

A. It was developed specifically for DoD

✓ **B. It has been sold or offered for sale in the commercial marketplace, or evolved from such an item through advances in technology**

C. It costs less than the simplified acquisition threshold

D. The contractor certifies it does not require unique modifications

WHY

FAR 2.101 defines commercial products broadly. Sold in the commercial marketplace, offered with customary modifications, or evolved from commercial items. The CO makes the determination based on market research. Commercial item status eliminates CAS, certified cost or pricing data (TINA), and many DFARS clauses. Dramatically reducing contractor compliance burden.

The simplified acquisition threshold (SAT) is currently:

A. \$10,000

B. \$50,000

C. \$150,000

✓ **D. \$350,000**

WHY

The SAT is \$350,000, effective October 1, 2025 per FAR 2.101 (updated by the Federal Acquisition Circular FAC 2025-07). Acquisitions below the SAT use simplified acquisition procedures (FAR Part 13). The micro-purchase threshold (no competition required) is \$15,000. The SAT is adjusted periodically for inflation and certain exceptions apply (e.g., commercial items, construction).

"Split purchasing". Intentionally breaking a \$500K requirement into three \$150K purchases to use SAP. Is:

A. A legitimate use of simplified acquisition procedures

✓ B. A violation of FAR 13.003(c): requirements cannot be artificially split to circumvent competition or dollar thresholds

C. Permitted if the items are needed at different times

D. Only a problem if audited by DCAA

WHY

FAR 13.003(c) explicitly prohibits splitting requirements into smaller purchases to avoid competition requirements or threshold limitations. This is a common compliance violation that auditors and inspectors general actively look for. The test is whether the items serve a single end purpose that should be acquired as one requirement. If so, they must be consolidated and competed appropriately.

Which FAR clause replaces dozens of standard DFARS clauses when FAR Part 12 commercial item procedures are used?

A. FAR 52.215-2 (Audit and Records)

✓ B. FAR 52.212-4 (Contract Terms and Conditions: Commercial Products) and FAR 52.212-5

C. DFARS 252.204-7012 (Cybersecurity)

D. FAR 52.222-26 (Equal Opportunity)

WHY

FAR 52.212-4 and 52.212-5 are the streamlined commercial terms clauses that substitute for the full list of individual standard FAR clauses normally required. This is what makes commercial acquisitions so much faster. Instead of reviewing 30+ clause flowdown requirements, the CO simply incorporates 52.212-4/5, which contain the essential terms in a single, commercial-friendly format.

A sole source justification under FAR 6.302-2 ("unusual and compelling urgency") requires the PM to demonstrate:

A. The requirement is classified

✓ B. There is an immediate danger to life, national security, or critical mission; and competition would cause unacceptable delay

C. The contractor is the only one in the world with the capability

D. The acquisition is below the simplified acquisition threshold

WHY

FAR 6.302-2 urgency requires a genuine time-critical situation where competing the requirement would cause serious harm. Not just inconvenience. The J&A must document the specific harm of delay, the limited period for the noncompetitive award, and a plan to compete follow-on requirements. "We didn't plan ahead" does not qualify as unusual and compelling urgency.

A key OTA safeguard that prevents its use solely as a competition-avoidance tool for production is:

A. OTAs must be reviewed by GAO before award

✓ B. Production OTAs require the prototype to have been successfully demonstrated AND the OTA must include at least one nontraditional contractor OR significant government cost-share

C. OTAs are automatically cancelled after 2 years

D. All OTAs must be competitively awarded through a public notice

WHY

The nontraditional contractor OR government cost-share requirement prevents traditional defense contractors from simply using OTA to avoid competition. The "successful demonstration" requirement ensures follow-on production is genuinely tied to demonstrated prototype results. Together, these safeguards are intended to prevent OTA from becoming a regulatory loophole for routine production contracting.

Government Purchase Cards (GPCs) can be used without any competition requirement for purchases at or below:

- A. \$2,500
- B. \$10,000
- ✓ C. \$15,000
- D. \$50,000

WHY

The micro-purchase threshold is \$15,000 (FAR 13.201). Purchases at or below this amount may be made with a GPC by any authorized cardholder without a competition requirement. Above \$15K, SAP competition standards apply. Above \$350K (SAT), full competition and documentation requirements apply.

Which statement best describes the relationship between OTA and FAR?

- A. OTAs are a type of contract governed by FAR Part 16
- ✓ B. OTAs are agreements (not procurement contracts) that operate outside the FAR: they are governed by their own negotiated terms and the authorizing statute (10 USC 4022)
- C. OTAs are subject to FAR but exempt from DFARS
- D. OTAs must be converted to FAR contracts within 180 days

WHY

OTAs are explicitly not procurement contracts and are not subject to the FAR or DFARS. They are governed by the statutory authority (10 USC 4022 for prototype and production), the negotiated agreement terms, and any agency-specific OTA guidance (like the OSD OTA Guide). This is the source of their flexibility. And the reason they require careful legal and policy oversight.

Match each acquisition path to its best use case:**CORRECT MATCHES**

Traditional FAR/DFARS Contract	Complex defense system requiring cost reimbursable R&D and CAS compliance
FAR Part 12 Commercial	Cloud services or COTS software sold commercially without modification
Other Transaction Authority (OTA)	AI prototype with Silicon Valley startup that refuses FAR compliance
Simplified Acquisition Procedures	Routine supplies purchase of \$180K for program support

WHY

Matching the acquisition strategy to the requirement type is a core PM competency. Traditional FAR contracts for complex regulated programs. FAR Part 12 for genuine commercial products. OTA for innovative prototypes with nontraditional contractors. SAP for small routine purchases. Each path exists to serve a specific need. Using the wrong path creates legal, financial, and oversight risk.

Order these acquisition paths from MOST regulated/slowest to LEAST regulated/fastest:

CORRECT ORDER

1. **Traditional FAR/DFARS Contract (full CAS, DFARS, TINA, competition)** Correct. Traditional FAR/DFARS contracts carry the full weight of government procurement law, CAS for cost-type, DFARS clauses, TINA certified cost or pricing data requirements over \$10M (for contracts awarded after June 30, 2026, under the FY2026 NDAA), and mandatory competition under FAR Part 6. These provide maximum oversight but maximum administrative burden.
2. **FAR Part 12 Commercial Item (reduced clauses; no CAS; no certified cost data)** Correct. FAR Part 12 commercial item acquisitions use a streamlined clause set. Contractors are not required to submit certified cost or pricing data, CAS does not apply, and standard commercial terms are accepted. Preferred for COTS and commercial services but requires a determination of commerciality.
3. **Other Transaction Authority (no FAR/DFARS/CAS; negotiated terms only)** Correct. OTAs are authorized under 10 U.S.C. 4021-4022 and allow DoD to negotiate agreements without FAR/DFARS constraints. They are designed to attract non-traditional defense contractors and accelerate prototyping and fielding. OTAs cannot be used for traditional services or routine supplies.
4. **Simplified Acquisition Procedures (below \$350K; three quotes; minimal docs)** Correct. SAP applies to purchases below the Simplified Acquisition Threshold (\$350K effective October 1, 2025). The CO can use simplified competition, typically three competitive quotes, with minimal documentation. This allows rapid procurement for routine, lower-dollar requirements.
5. **Micro-Purchase / Government Purchase Card (below \$15K; no competition required)** Correct. Micro-purchases (below \$15K generally) can be made by government purchase card without competition under FAR 13.2. No contract is required, the purchase is made directly on a government credit card. This is the fastest acquisition method.

WHY

Traditional FAR/DFARS contracts carry the full regulatory burden. CAS, DFARS business systems, certified cost data, competition requirements. FAR Part 12 is faster with reduced clause requirements. OTA eliminates FAR/DFARS entirely. SAP is streamlined for sub-SAT buys. Micro-purchases are immediate with no competition required. The trade-off: less regulation means less accountability. Use the appropriate level for the risk.

DOD ACQUISITIONS FOUNDATIONS · LESSON 9

How DoD Money Works

14 min

Understand where DoD money comes from, why you can't just spend it on anything you want, and what "color of money" means. One of the most practically important concepts in defense acquisition.

What "Color of Money" Actually Means

Color of money is just an informal nickname for what kind of appropriation a dollar came from. Congress does not hand the DoD one lump sum. It hands over several separate buckets, RDT&E for developing new things, Procurement for buying production quantities, O&M for day-to-day operations, and a few others, and each bucket comes with its own rules on what it can be spent on and how long you have to spend it. Mix them up, and you have not made a paperwork mistake. You have broken federal law. In a private company, if you have money in the bank, you can generally spend it on what your business needs. The government doesn't work that way. Congress controls the government's money. Not just how much is spent, but what it can be spent on, when it must be spent by, and what happens if it's spent on the wrong thing. For anyone working in defense acquisition, understanding government money is not optional. Mistakes involving the wrong type of funding don't just cause budget problems. They can be federal law violations that end careers.

A HOUSEHOLD BUDGET ANALOGY

Think of it like your own monthly budget, except each envelope of cash is legally sealed to one purpose. Your rent envelope cannot cover groceries, even if rent is fully paid and groceries are short. Your home-repair envelope cannot cover a vacation, no matter how good the deal is. RDT&E is your "build something new" envelope. Procurement is your "buy the finished thing" envelope. O&M is your "keep the lights on this month" envelope. You cannot borrow from one to cover another, and unused cash in an envelope does not roll over forever, it expires. That is color of money in one picture.

THE ANTI-DEFICIENCY ACT: WHY THIS ACTUALLY MATTERS

The Anti-Deficiency Act (ADA) prohibits spending money Congress hasn't appropriated, spending more than was appropriated, or spending appropriated money on a purpose other than what Congress intended. ADA violations must be reported to Congress and can result in administrative discipline and criminal prosecution. This is why every acquisition professional must understand "color of money". The type of appropriation determines what you can and cannot do with it.

Where DoD Money Comes From: The PPBE Cycle

DoD doesn't get a blank check from Congress. It has to earn its budget through an annual process called PPBE. Planning, Programming, Budgeting, and Execution. Here's the simplified version: 1. Planning: The DoD identifies its strategic priorities and capability needs. 2. Programming: Each service and agency proposes how to allocate resources across its programs over the next 5 years (the Future Years Defense Program, or FYDP). 3. Budgeting: The proposals are reviewed, debated, and refined into a budget request the President submits to Congress. 4. Execution: Once Congress passes the budget (appropriations bills), the DoD executes. Spends the money per the authorized purposes. The entire cycle takes about two years from planning to execution, which means the budget you're executing today was planned 2+ years ago. This is one reason DoD programs struggle to adapt quickly to changing needs.

A loop, not a line. By the time you're executing, the plan behind it is already two years old.

Color of Money: The Most Practically Important Concept for Day-to-Day Work

Once Congress appropriates money to the DoD, it's divided into different "pots". Each with its own authorized uses and time limits. These are called appropriations, and the informal term is "color of money." Using the wrong color for a purchase is not a paperwork error. It's potentially a federal law violation.

The Five Main DoD Appropriation Types

APPROPRIATION	NICKNAME	WHAT IT PAYS FOR	OBLIGATION PERIOD	COMMON MISTAKE
Research, Development, Test & Evaluation	RDT&E	Developing new systems: studies, prototypes, engineering, testing	2 years	Using RDT&E to buy production quantities: that requires Procurement funds
Procurement	Proc	Buying production units of systems and major equipment	3 years	Using Procurement to pay for a study or maintenance: those require RDT&E or O&M
Operations & Maintenance	O&M	Day-to-day operations, maintenance, training, most services contracts	1 year	Using O&M for a multi-year services contract that exceeds the obligation period
Military Construction	MILCON	Building and renovating facilities and infrastructure	5 years	Using O&M for construction that should be MILCON (generally above \$1.5M threshold)
Military Personnel	MILPERS	Military salaries, allowances, bonuses	Annual	Using MILPERS for contractor services: not allowed

THE PRACTICAL PROBLEM COLOR OF MONEY CREATES

Programs regularly cross phase boundaries mid-fiscal year. A development program transitions from RDT&E work to procurement. But the transition isn't clean. You might have RDT&E funds on contract and the contractor needs to do something that looks like production. Or your O&M services contract runs right up to the fiscal year end. These transitions require careful coordination between the PM and the budget team. And they happen on every program, every year. Understanding color of money is not theoretical; it's one of the most common practical challenges in program execution.

Key Rules About Government Money That Every Acquisition Professional Must Know

- **Funds expire: every appropriation has a period of availability. O&M funds must be obligated within one year. After expiration, they can no longer be obligated for new work. After the expenditure period, they close entirely.** The lifecycle of an appropriation: (1) Available period: can be obligated for new contracts; (2) Expired period (5 years after availability ends): can only pay existing obligations, no new work; (3) Closed: all balances cancelled, no further payments. O&M: 1-year available + 5-year expired. Procurement: 3-year + 5-year. If a contractor submits an invoice after funds have closed, the government cannot pay it from those funds: it must use current-year money, which requires reprogramming.
- **You cannot exceed what Congress gave you: a program cannot spend more than its appropriated amount. If a program runs over budget, it must either get more money from Congress (reprogramming) or descope the work.** Reprogramming moves money between budget lines. Below-threshold reprogramming (under \$10M–\$20M depending on the service) can be done administratively. Above-threshold reprogramming requires Congressional notification and a waiting period (usually 15–30 days). Emergency reprogramming requests during execution are common on programs with unexpected technical problems and typically involve difficult negotiations with both the service and Congressional committees.
- **Money must be used for its intended purpose: using RDT&E money to buy production equipment is illegal. Using O&M to build a permanent facility is illegal. These rules are enforced, and violations are serious.** Bona Fide Need Rule: funds may only be used to meet a genuine, authorized need that arose during the period of availability. Using FY25 O&M to pre-buy FY26 supplies is an ADA violation even if the funds haven't expired. The "purpose statute" (31 U.S.C. § 1301) requires that appropriations be used only for the specific purposes for which they were appropriated.
- **Fiscal year end is a real deadline: the end of the government fiscal year (September 30) is a hard deadline for obligating O&M funds. Programs scramble to obligate expiring funds responsibly: but "use it or lose it" thinking can lead to wasteful spending.** September is the busiest month in government contracting by volume. Contract modifications, new awards, and delivery orders spike dramatically. "End of year money" is real: programs that have unobligated O&M approaching September 30 are under pressure to obligate it or lose it. This creates procurement pressure that can lead to poorly scoped requirements and rushed awards. GAO has repeatedly flagged end-of-year spending as a waste risk.

- **Reprogramming requires approval: if a program needs to move money between budget lines or fiscal years, it typically requires Congressional notification or approval depending on the amount.** There are four types of reprogramming: (1) Above-threshold (Congressional notification required, 15–30 day waiting period); (2) Below-threshold (internal service approval); (3) Transfers (moving between appropriations: very restricted, requires specific statutory authority); (4) Supplemental appropriations (requires a new act of Congress). PMs who anticipate reprogramming needs should work with their financial manager 6–12 months in advance.

FOR CONTRACTORS: WHY YOU NEED TO KNOW THIS TOO

Color of money directly affects you as a contractor. If the government is paying you from O&M funds, your contract must be structured and performed within that fiscal year or you risk the funding expiring. If a CO tells you "we can't pay for that under this contract line," color of money is often the reason.

Understanding appropriations helps you structure proposals, set payment milestones, and have more productive conversations with your CO and COR about what's fundable.

September 30th is a real thing. The government fiscal year ends on September 30, and the weeks before that date are chaos. Contracting offices are flooded with last-minute requests to obligate expiring O&M funds. Requirements get rushed, scopes get vague, and sometimes work gets bought that nobody really needs. As a contractor, this is actually **opportunity**: if you're on the right vehicles and have a good relationship with your COR, you'll get called in August with real work. But the projects that get stood up in September often have the worst-defined SOWs and the most scope creep. Get clarity on what you're actually being asked to deliver before you say yes.

Key Terms

Appropriation

A Congressional act that gives the government legal authority to spend money for a specific purpose. The DoD cannot spend a dollar that Congress hasn't appropriated.

Color of Money

Informal term for the type of appropriation funding is drawn from. Different appropriations (RDT&E, Procurement, O&M) have different authorized uses, obligation periods, and rules. Using the wrong color of money is a federal law violation.

RDT&E

Research, Development, Test & Evaluation. Appropriation for developing new systems, technologies, and capabilities. Covers everything from basic research to engineering development and testing.

Procurement

Appropriation for buying production quantities of systems and equipment. Used after a system has been developed and is ready for production. Has a 3-year obligation period.

O&M

Operations & Maintenance. Appropriation for day-to-day operations, maintenance, training, and most services. The most frequently used appropriation. Has a 1-year obligation period.

MILCON

Military Construction. Appropriation for building and renovating facilities. Has a 5-year obligation period.

MILPERS

Military Personnel. Appropriation that pays military salaries, allowances, and benefits. Cannot be used for contracts or equipment.

Obligation

A legally binding commitment of government funds. When a contract is awarded, the government is "obligating" funds. Promising to pay. Unobligated funds expire at the end of their period of availability.

Anti-Deficiency Act

The federal law that prohibits spending money the government doesn't have, spending more than Congress appropriated, or spending money for a purpose other than what Congress intended. Violations can result in criminal penalties.

PPBE

Planning, Programming, Budgeting, and Execution. The DoD's annual process for developing and managing its budget. Programs must navigate PPBE to get and keep funding.

Knowledge Check

What is "color of money" in the context of DoD appropriations?

A. The physical color-coding on budget documents to track spending

There is no physical color-coding system. "Color of money" is entirely informal terminology. The actual mechanism is the appropriation type designation in the accounting system, which restricts what the funds can legally be spent on and when they must be obligated.

✓ **B. The informal term for the type of appropriation, which determines what money can be spent on and how long it can be obligated**

Correct. Different appropriations (RDT&E, Procurement, O&M, MILCON, MILPERS) each have specific authorized uses, obligation periods, and expenditure periods. Mixing them up is not a paperwork error. It's potentially an Anti-Deficiency Act violation with personal liability consequences.

C. A reference to classified funding that cannot be discussed publicly

Classified or "black" programs do have special budget handling, but that's a separate concept from "color of money." Color of money refers to appropriation type restrictions that apply to all programs, classified or unclassified.

D. The difference between authorized and appropriated amounts

Authorization and appropriation are two distinct Congressional actions: authorization establishes a program, appropriation provides funding. "Color of money" specifically refers to the type of appropriated funds and their permitted uses, not the gap between authorized and appropriated amounts.

WHY

"Color of money" refers informally to the type of appropriation (RDT&E, Procurement, O&M, etc.). Each type has specific authorized uses and obligation periods. Using the wrong color of money. Spending O&M on construction, or RDT&E on production. Is a potential Anti-Deficiency Act violation.

A program wants to fund a services contract for IT support running from October 2025 through September 2027 using O&M funds. What is the key issue?

A. IT support is not an authorized use of O&M funds

Incorrect. O&M funds are routinely used for IT support, help desk services, software licenses, network maintenance, and contractor labor supporting day-to-day operations. The issue with multi-year IT contracts is fund availability, not authorization.

✓ B. O&M funds have a 1-year obligation period, so a multi-year contract must be structured carefully to avoid obligating funds before they are available

Correct. O&M appropriations expire for obligation at the end of the fiscal year (1-year money). A multi-year service contract must be structured to obligate only the funds available in each fiscal year, typically as base year plus option years. Obligating future-year funds before they are appropriated violates the Anti-Deficiency Act.

C. O&M funds cannot be used for contractor services

Incorrect. O&M funds are the primary funding mechanism for contracted services, program management support, IT services, facilities maintenance, and most service contracts are funded with O&M. The correct restriction is that O&M cannot fund capital acquisitions that should use Procurement funds.

D. There is no issue; O&M funds are available indefinitely

Incorrect. O&M funds are 1-year money: they must be obligated within the fiscal year in which they are appropriated. New obligations cannot be made after the end of the fiscal year. Failure to observe these rules violates the Anti-Deficiency Act.

WHY

O&M funds have a 1-year period of availability. For a multi-year services contract, the government can award the contract but must structure funding obligations so each fiscal year's O&M is only obligated for work performable in that year. This is a common and important planning challenge in services contracting.

What federal law prohibits spending more money than Congress appropriated, spending on unauthorized purposes, or spending money before it is available?**A. The Federal Acquisition Regulation (FAR)**

Incorrect for the specific O&M multi-year issue. The FAR governs acquisition procedures, it doesn't directly restrict what funds can be used for what purpose. The binding authority on appropriations restrictions is the Anti-Deficiency Act (31 U.S.C. 1341) and the Purpose Statute.

B. The Nunn-McCurdy Act

Incorrect for appropriations purposes. Nunn-McCurdy (10 U.S.C. 2433) governs cost growth notification requirements for Major Defense Acquisition Programs. It requires Congressional notification when a program breaches cost thresholds. It does not govern appropriations timing.

✓ C. The Anti-Deficiency Act

Correct. The Anti-Deficiency Act (31 U.S.C. 1341) prohibits federal officials from obligating funds in excess of or in advance of appropriations. Obligating next year's O&M funds before they are appropriated violates the ADA. Violations can result in administrative disciplinary action and criminal penalties.

D. The Economy Act

Incorrect. The Economy Act (31 U.S.C. 1535) authorizes interagency acquisitions. It does not govern appropriations timing or the obligation of funds.

WHY

The Anti-Deficiency Act is the federal law that prohibits the government from obligating or spending funds in excess of appropriations, for unauthorized purposes, or before funds are available. ADA violations must be reported to Congress and OMB and can result in disciplinary action and criminal prosecution.

Which appropriation would be used to fund a study to evaluate alternatives for a new weapons system?

A. Procurement

Incorrect. Procurement (P) funds are used to buy end items, complete weapon systems, vehicles, aircraft, ships, and major equipment. They have a 3-year obligation period. If you're buying something that will last more than 2 years and costs above the investment threshold (\$350K, raised from \$250K under Section 8039 of the DoD Appropriations Act: the DoD Financial Management Regulation itself still lags with the old \$250K figure in places), it should be Procurement funds.

B. Operations & Maintenance (O&M)

Incorrect. O&M funds cover the day-to-day costs of running the military, contractor services, supplies, base operations, training, and maintenance. They are 1-year money. O&M is the largest DoD appropriation category by dollar volume and the most commonly used for service contracts.

✓ C. Research, Development, Test & Evaluation (RDT&E)

Correct. RDT&E funds support the full spectrum of defense research and development, from basic science (6.1) through system development and demonstration (6.5). They have a 2-year obligation period.

D. Military Personnel (MILPERS)

Incorrect. MILPERS funds pay for military salaries, housing allowances, and personnel entitlements. They are strictly for military members, civilian pay comes from O&M. MILPERS are 1-year funds.

WHY

Studies, analyses, and development work. Including alternatives analyses, engineering, and testing. Are funded by RDT&E appropriations. O&M funds operational costs. Procurement funds production quantities of systems. Buying a system that is already developed and ready for production would require Procurement funds.

What happens to unobligated O&M funds at the end of the fiscal year (September 30)?**A. They roll over automatically to next fiscal year**

Incorrect. Annual appropriations (O&M, MILPERS) do not roll over. At the end of the fiscal year, unobligated annual funds expire, the government loses the ability to commit them to new contracts. 'Use it or lose it' pressure at fiscal year end is a real phenomenon in DoD acquisition.

B. They can be carried over for up to 3 years

Incorrect as stated for O&M. O&M funds must be OBLIGATED within 1 year. They can be EXPENDED (paid out) for 5 years total. After 5 years, the funds are cancelled. Procurement funds have a 3-year obligation period.

✓ C. They expire and can no longer be obligated for new work

Correct. When an annual appropriation expires (end of fiscal year for O&M/MILPERS; after 3 years for Procurement), it moves into 'expired' status, during which it can still pay existing obligations but cannot fund new work. After 5 years total, the account is cancelled.

D. They are returned to Congress for reallocation

Incorrect. Expired funds remain in Treasury accounts in expired status. Congress does not reallocate individual expired appropriations to agencies mid-cycle.

WHY

O&M funds have a 1-year obligation period. Unobligated O&M funds expire at the end of the fiscal year (September 30) and cannot be used to obligate new contracts or orders. This is why the end of the fiscal year is an intense period of activity. Programs scramble to obligate funding before it expires.

DOD ACQUISITIONS FOUNDATIONS · MODULE ASSESSMENT

Module Assessment

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Knowledge Check

The DoD 5000 series acquisition lifecycle begins at which phase before Milestone A?

- A. Engineering & Manufacturing Development
- ✓ B. Materiel Solution Analysis (MSA)
- C. Operations & Support
- D. Production & Deployment

WHY

The MSA phase precedes Milestone A and is where the DoD explores alternative materiel solutions to meet a validated need. It culminates in a Milestone A decision to begin Technology Maturation & Risk Reduction (TMRR).

Which document formally captures validated operational requirements and drives the acquisition program?

- A. Acquisition Program Baseline (APB)
- B. Initial Capabilities Document (ICD)
- ✓ C. Capability Development Document (CDD)
- D. Test & Evaluation Master Plan (TEMP)

WHY

The CDD (Capability Development Document) is the primary requirements document that drives the acquisition program through Milestone B. It defines Key Performance Parameters (KPPs), Key System Attributes (KSAs), and other system-level requirements validated through the JCIDS process.

ACAT I programs are characterized by which threshold (as of current DoD policy)?

A. RDT&E > \$100M or Procurement > \$500M

✓ **B. RDT&E > \$480M or Procurement > \$2.79B**

C. RDT&E > \$185M or Procurement > \$835M

D. Any program designated by the Secretary of Defense only

WHY

ACAT I (MDAPs) meet the threshold of RDT&E costs exceeding \$480M or procurement costs exceeding \$2.79B (FY2020 constant dollars), OR are designated by the USD(A&S) due to special interest. ACAT II uses the \$185M/\$835M thresholds.

The Milestone Decision Authority (MDA) for ACAT IC programs is:

A. USD(A&S)

✓ **B. Component Acquisition Executive (CAE)**

C. Program Executive Officer (PEO)

D. Deputy Secretary of Defense

WHY

For ACAT IC programs, the MDA is the Component Acquisition Executive (CAE): e.g., ASA(ALT) for Army, ASN(RDA) for Navy, SAF/AQ for Air Force. The USD(A&S) serves as MDA for ACAT ID programs (the highest tier).

The Pathways Recent Graduates Program entry-level positions are typically at what GS grade range?

A. GS-5 to GS-7

✓ **B. GS-7 to GS-9**

C. GS-9 to GS-12

D. GS-12 to GS-13

WHY

Pathways Recent Graduates positions typically start at GS-7 to GS-9 for candidates within two years of earning a degree. The program provides structured training, mentorship, and a clear pathway to full career positions.

Which acquisition strategy element is tailored by the MDA to adjust DoDI 5000 policy requirements for a specific program?

- A. Nunn-McCurdy certification
- B. Acquisition Program Baseline

✓ C. Tailoring plan documented in the Acquisition Strategy

- D. Selected Acquisition Report (SAR)

WHY

Tailoring is documented in the Acquisition Strategy and requires MDA approval. It allows the program to adjust (but not eliminate) DoDI 5000 policy requirements to match program complexity and risk. Statutory requirements (e.g., SAR, Nunn-McCurdy, ICE for ACAT I) cannot be tailored away.

An Other Transaction Authority (OTA) agreement differs from a FAR-based contract primarily because:

- A. It is only available to ACAT III programs

✓ B. It is exempt from FAR, DFARS, and CAS: terms are fully negotiated

- C. It requires certified cost or pricing data from all parties
- D. It limits competition to small businesses only

WHY

OTAs are explicitly excluded from the FAR and DFARS. They are authorized under 10 U.S.C. §§ 4021-4022 for prototype and follow-on production projects. This makes them powerful for engaging non-traditional defense contractors and companies that will not accept standard FAR clauses.

A FAR Part 12 commercial item contract does NOT require:

- A. A written contract
- B. Competition where practicable

✓ C. Certified cost or pricing data under TINA

- D. A period of performance

WHY

FAR Part 12 commercial item contracts are explicitly exempt from the Truth in Negotiations Act (TINA): no certified cost or pricing data is required. The rationale is that commercial market pricing is self-regulating and government-unique cost analysis requirements would deter commercial vendors.

What is the maximum dollar threshold for Simplified Acquisition Procedures (SAP) under the FAR?

- A. \$10,000
- B. \$100,000
- ✓ C. \$350,000
- D. \$500,000

WHY

FAR Subpart 13 Simplified Acquisition Procedures apply to acquisitions at or below the Simplified Acquisition Threshold (SAT) of \$350,000. Below SAT, the contracting officer can use streamlined procedures (request for quotes, three quotes minimum, simplified documentation) instead of full and open competition requirements.

The JCIDS process validates requirements at what authority level before an ACAT I program can proceed to Milestone A?

- A. Program Manager
- B. Program Executive Officer (PEO)
- ✓ C. Joint Requirements Oversight Council (JROC) or delegated FCB
- D. Component Acquisition Executive

WHY

For ACAT I programs, the Joint Requirements Oversight Council (JROC); or a delegated Functional Capabilities Board (FCB); must validate the Initial Capabilities Document (ICD) before Milestone A. The JROC is chaired by the Vice Chairman of the Joint Chiefs of Staff and ensures requirements are joint and prioritized across all services.